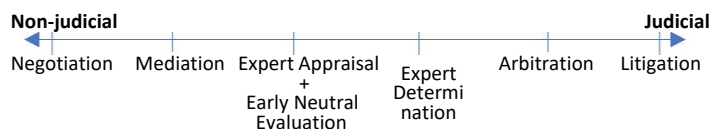


METHODS OF DISPUTE RESOLUTION

MAIN METHODS:



In the UK, there are four main processes for resolving disputes:

- * Litigation
- * Negotiation
- * Arbitration
- * Mediation

Negotiation, arbitration, and mediation are all alternative dispute resolution procedures (ADR) which means alternative to litigation.

Other types of alternative dispute resolution:

Early neutral evaluation = Independent evaluator meets with parties to assess dispute. Non-binding and confidential.

Expert appraisal = Parties appoint independent expert on subject matter. Non-binding decision.

Expert determination = Parties appoint independent expert on subject matter. It is binding, but cannot make a costs order

LITIGATION:

Legal action that will proceed through the court system. Litigation requires the parties to comply with the **formal rules** surrounding procedures and evidence. The judge is the one making the final decision over the dispute.

NEGOTIATION:

Informal discussions that take place between the parties to resolve the dispute. This may take place at any time and the parties resolve their own dispute by **agreement**.

- Any correspondence and discussions that is part of the negotiation may be marked 'without prejudice'.
- Without prejudice communications** = discussions which cannot be relied on/referred to in court.
- The parties may also hold **round-table discussions** where the parties and their representatives try to settle the dispute after they have disclosed all witness statements and evidence.

ARBITRATION:

Semi-formal procedure similar to litigation, however, the final decision is made by a neutral third party (the arbitrator) that resolves dispute by granting a final award.

- The parties may decide on the procedures to use.
- The formal rules on evidence such as seen in litigation do not apply.
- The parties are contractually bound to comply with the award and the award is as binding as litigation. However, the arbitral award is not binding on third parties.
- Just as contentious and adversarial as court proceedings.

PROS	CONS
* Can choose arbitrator, but not the judge in case of litigation. Might choose a specialist. * Can choose where arbitration takes place, choose the mechanism of the process. * Private hearings – sign NDAs. * Final and binding unlike court appeals procedure. * New York Convention ensures decision is enforced abroad.	* Slow but may speed it up by changing process mechanisms. * No precedent value. * Can be expensive as parties pay for arbitrator + premises. * Powers are more limited than that of the court. * Not as effective for interim applications.

Private hearings:

While there is third party involvement with arbitration, the only third party is the arbitrator, it is generally private and there is no reporting of the matter (unlike litigation).

Arbitration clauses:

Typically, an **arbitration clause** within a contract is the common method by which parties agree to resolve their disputes through arbitration. The arbitration clause is agreed upon when the contract is formed, and it usually outlines the rules, the seat of arbitration, and sometimes the appointing body or specific arbitrators.

However, parties **can agree to arbitrate a dispute even without a pre-existing arbitration clause** in their contract. This can be done by entering into a **separate arbitration agreement** after a dispute has arisen. This post-dispute agreement would similarly define the terms and procedures of the arbitration process.

MEDIATION/CONCILIATION:

Informal dispute resolution process where the decision is made by the parties with the assistance of a neutral third party (the mediator) without looking at the merits of the case.

Confidentiality:

The mediation process is **confidential** and without prejudice.

Process:

- The process of mediation includes sessions held with each party separately and joint sessions at a later stage. The procedure is structure with a set number of sessions required.
- Parties can discuss and resolve anything they wish. – eg. **even hurt feelings, and could request an apology.**
- The parties come to a solution themselves and result of mediation is **non-binding** on the parties. As a result, the parties must sign an agreement to have a binding decision.
- Any decision that is made during mediation is final and cannot be appealed.
- If mediation does not lead to settlement, the mediator could invite the parties to pursue mediation again at a later stage.

PROS	CONS
* Cheaper + quicker than litigation * Promotes an amicable solution, preserves commercial relationship * If ends in a consent order, becomes enforceable * Confidential so allows for private discussions. * Without prejudice so it is not admissible in court if parties decide to make a claim. * Allows for creative solutions.	* Solution is not imposed on either party, may waste time and money. * Although commercial resolution, may not be legally correct. Injustice to one party. * Only effective if both parties genuinely intend to resolve * Flexible, may leave if not going as expected.

Conciliation:

- * The conciliation procedure is very similar to mediation with a few differences between the two procedures.
- * Instead of a mediator, the conciliation is led by the conciliator who will have a **more active role** in **suggesting solutions** to the parties and they can also advise the parties in relation to the dispute including both **matters of fact and law** they may also provide recommendations as to how to resolve the issue.
- * The **procedure is more flexible** to suit the parties.

In practice, the terms mediation and conciliation are sometimes used interchangeably, and the distinction is subtle.

If the parties are unsure as to the outcome they require and need more guidance, conciliation may be more suitable.

DUTY TO ENCOURAGE:

Duty to encourage clients to attend ADR:

The Court of Appeal has made a direction directed towards legal professionals to **encourage clients to try ADR** prior to taking legal action.

Even though **ADR is not required** prior to commencing litigation, clients should consider it. – ADR is a voluntary process, and the parties must consent to it before it can go ahead.

The court has a duty to – ensure that all cases are dealt with justly, fairly, and proportionately (the **overriding objective**) and considering/attempting ADR may achieve this.

Legal professionals have a duty to – tell their clients about their option to attempt ADR instead of/before litigation

Parties have a duty to – consider whether ADR would be appropriate throughout the proceedings.

If the parties fail to consider/participate ADR, they might not be able to recover the costs of the proceedings (at all or in part).

Unreasonable refusal to engage in ADR:

When the parties receive a request for ADR, they must respond to it and if they refuse ADR, they must set out the reasons for why they consider that ADR would be inappropriate in this case.

If the court believes that refusal was unreasonable or the party ignored the request for ADR completely, **they may penalise the party** refusing it **in respect of payment/recovery of legal costs** depending on whether the outcome of their claim is successful.

INTRODUCTION TO LITIGATION

PROCEDURE TIMELINE:

Interim applications and ADR	May begin from before the claim form is filed until the start of trial. – CPR 23-25	
Settlement and Part 36 offers	May be made from commencement up until the start of trial.	
PRE-ACTION	* Interview Claimant client * Claimant sends Letter of Claim * Consider ADR * Defendant sends Letter of Response	14 days from Letter of Claim
MAKING A CLAIM	* Issue Claim form * Serve Claim form on Defendant – CPR 7.5 * Serve Particulars of Claim (PoC) with Claim form or separately * File Certificate of Service	4 months from issue date 14 days from Claim form 21 days from Claim form
DEFENDANT RESPONSE	* File Acknowledgement of Service * File Defence and Counterclaim	14 days from PoC 28 days from PoC
MANAGING THE CASE	* Notice of Proposed Allocation – CPR 26.4 * Directions Questionnaire * Allocation hearing * Case and Cost management conference	
CLAIMANT REPLY	* Reply to Defence and Counterclaim – CPR 15.8	
EVIDENCE	* Instruct experts * Disclosure and inspection * Parties exchange witness statements – CPR 32 * Parties exchange expert reports – CPR 35	
PRE-TRIAL	* Court sends Pre-trial checklist * Pre-trial hearing * Claimant files trial bundles * Prepare skeleton arguments and list of authorities * Consider Notice to admit facts * Prepare a case summary * Summon reluctant witnesses * Prepare Brief to counsel	14 days pre-trial 3 days pre-trial
TRIAL	* Opening statements * Call evidence * Closing submissions * Judgment * Costs hearing	
POST-TRIAL	* Appeals – CPR 52 * Enforce judgment – CPR 70	

There are two stages to be considered when starting court proceedings. The first is issue of proceedings, the term used for commencing proceedings. The second is service of proceedings, which means getting the documents into the defendant's hands in a way the court recognises as valid.

It is worth noting at this stage that 'file' means providing the court with a document and 'serve' means providing the other side with the document.

Proceedings are started when the court issues a claim form at the request of the claimant (CPR 7.2 (1), subject to 7APD 5.1 & 5.2). Upon issue, the court will stamp the claim form with the court seal and give the action a claim number.

Service of the claim form

Once the claim form has been issued, it must be served on the defendant within four months of issue CPR 7.5(1) (or within six months if it is to be served out of the jurisdiction: CPR 7.5(2)). If it is not possible to serve within this time limit, the claimant may apply for an extension under CPR 7.6 (although this is not easy to obtain because the rules are very strict).

Who serves the claim form?

Under CPR 6.4, a claim form may be served either by the court or by the claimant's solicitor.

If the court serves, service will usually be by first class post. Once the court has effected service, it will send the claimant a notice of issue stating the deemed date of service. If the court is unable to serve the claim form for any reason, the claimant will be sent a notice of non-service. It is then up to the claimant to try to serve the claim form on the defendant.

If the claimant's solicitor wishes to serve the claim form, it must notify the court when it issues the claim form that it does not wish the court to serve it. The court will then give or send the claimant's solicitor the issued claim form with sealed copies for service on the defendant(s). The claimant's solicitor then effects service using any of the methods of service in CPR 6.3. The claimant's solicitor must then file a certificate of service at court within 21 days of service, confirming that the document has not been returned undelivered and certifying details of the date on which the claim was posted/delivered/transmitted (see CPR 6.17). It is not necessary to file a certificate of service if all of the defendants have filed an acknowledgment of service within that time. **NOTE:** The claimant will not be permitted to obtain judgment in default under CPR 12 unless it has filed a certificate of service

Service (CPR 6)

Service is the process of giving the document to the other parties in an action in a way which is recognised by the court.

Service must be by a method recognised as valid by the CPR. If it is not, service may be invalid and the claimant may be unable to obtain judgment or enforce any judgment obtained.

CPR 6.3 lists various permitted methods of serving the claim form:

- personally by the claimant
- delivering or leaving the document at a permitted address
- by first class post
- by fax
- by document exchange (DX)
- by any electronic method (e.g. email)

Service by a contractually agreed method

If a contract specifies a method of service of a claim form, CPR 6.11 provides that service is valid if effected in accordance with that contractual method.

Solicitor authorised to accept service

Where a solicitor is authorised by his/her client to accept service on behalf of a party and has notified the other party in writing, the document must be served on the solicitor and not on the party (CPR 6.7(1)).

Alternative service (CPR 6.15)

The court may permit service by an alternative method if there is good reason to do so, i.e. where the other available methods of service would be ineffective or impossible.

An application must be made to court setting out why service in accordance with the methods listed in the CPR are not possible or why attempts to serve in accordance with these methods have been unsuccessful. The application should state the alternative method proposed. Examples of alternative service methods are: (i) serving on solicitors acting for a party where the solicitor has not been authorised to accept service; and (ii) placing an advert in a newspaper notifying the defendant that proceedings have been commenced against it. Alternative service cannot be used retrospectively and it cannot be used to remedy irregular service.

Service of the particulars of claim

If the particulars of claim is either contained in the claim form or attached to the claim form as a separate document and contained in the same envelope, then CPR 6.14 applies. In such circumstances, it is treated as part of the claim form for the purposes of these rules of service and is deemed served at the same time as the claim form. If the particulars of claim is served separately from the claim form, i.e. served within 14 days after service of the claim form (CPR 7.4(1)(b)) then CPR 6.26 applies to service of the particulars of claim,

The defendant's response

The defendant does **not** (apart from in the Commercial Court) have to react to the claim at all until it receives the particulars of claim. Once the defendant has been served with the particulars of claim, the defendant's time to respond starts running. (CPR 9.1)

The defendant must then respond in one of **three** ways within 14 days of deemed service of the particulars of claim:

1. admit part or all of the claim;
2. file a defence; or
3. file an acknowledgment of service (this will give the defendant longer to prepare its defence). (CPR 9.2)

Admission

A defendant may respond to the particulars of claim by admitting either the whole or part of the claim or by requesting time to pay. You can find details of admissions in CPR 14. The permission of the court is required to amend or withdraw an admission (14.1(5)).

Defence

A defendant contesting a claim must file a defence which sets out why the claim is disputed. A defence must be filed at court and served on all parties (CPR 15.6) within 14 days of the deemed date of service of the particulars of claim (CPR 15.4).

Acknowledgment of service

CPR 10 sets out the relevant rules relating to acknowledging service. This step is not compulsory. However, the defendant will file an acknowledgment of service either:

1. if it is unable to file the defence in time and needs longer than 14 days from the deemed date of service of the particulars of claim in which to serve a defence; or
2. if it wishes to dispute that the court has jurisdiction to hear the claim.

The form for acknowledging service (Form N9) is sent to the defendant in the response pack.

The general rule is that the period for filing an acknowledgment of service is 14 days after service of the particulars of claim, whether or not it is served with the claim form (see CPR 10.3).

Once the defendant has filed an acknowledgment of service, the court will notify the claimant in writing that this has been done (CPR 10.4). The filing of an acknowledgment of service extends the time for filing a defence, as set out in CPR 15.4:

- * If the defendant does not file an acknowledgment of service, it must file and serve a defence within 14 days of the deemed date of service of the particulars of claim.
- * If the defendant does file an acknowledgment of service indicating an intention to defend the claim, it extends the deadline for serving the defence to 28 days after the deemed date of service of the particulars of claim.

GLOSSARY:

The claim:

Litigation and application are two different legal procedures.

Litigation:

This is the main claim or legal action that is being brought. You can start a claim by filing a claim form at the court. A Claimant must have a cause of action to bring a claim.

Application:

These are specific requests being made to the court for a particular order or relief.

Two types of applications:

1. **Interim applications:** smaller requests/applications can be made to the court that relate to the main claim but relate to one specific issue that can be decided by the court before the main hearing.
2. **Stand-alone applications:** Some main claims are called applications such as Judicial review applications, probate applications, family law applications.

As you learn about a specific matter/area of law, you will learn about the different types of claims and applications that can be brought and what these are called.

Parties:

Parties to litigation:

Claimant = person making the claim.

Defendant = person defending the claim made against them.

Parties to interim applications:

Applicant = person making the application.

Respondent = person defending the application made against them.

Litigation documents:

Letter of Claim (Letter Before Action) = a **letter** sent by a potential Claimant to a potential Defendant setting out the details of the claim **before they file the Claim form**.

Claim form = the form a **Claimant** must fill in, file with the court and serve it on all the parties to **start litigation**. There are various different types of claim forms and the Claimant must select the most appropriate form.

Particulars of Claim = when starting litigation, the Claimant will also send out a Particular of Claim **either with the Claim Form or separately**. This document is a statement of case that **details the Claimant's case** and identifies all the relevant issues. The court will read this document to understand what the claim is about.

Certificate of service = the Claimant may fill in and file a Certificate of service that will **inform the court** who the Claimant served the Particulars of Claim and Claim form on.

Acknowledgement of Service = the Defendant may decide to file an Acknowledgement of Service with the court, to **extend the 14-day deadline for filing the Defence**. If they do file an Acknowledgement of Service, their deadline will be extended **to 28 days**, and this essentially serves as a notice to the Claimant that the Defendant has received the Particulars of Claim and is now preparing its defence.

Defence = a statement of case **filed by the Defendant in response** to the Particulars of Claim, essentially defending the claim. In some cases, a Defence will also contain a counterclaim.

Reply = a **non-essential** statement of case. The Claimant may decide to respond to the Defence and file their Reply, however, this is not a compulsory.

PRE-ACTION CONSIDERATIONS:

Before commencing proceedings, the claimant must consider a number of different questions. This will help the claimant **identify what is the best direction to take** with the claim and whether it is worth bringing a claim in the first place.

Pre-action considerations to take into account:

1. Which **jurisdiction** is the appropriate place to bring the claim?
2. If the correct jurisdiction is England and Wales, which court is the **correct court** for bringing the claim?
3. Whether both the claimant and the defendant have **legal capacity**.
4. Whether the claim can be brought within the **limitation period**.
5. Whether there is a valid cause of action to **bring the claim**.

LEGAL CAPACITY OF BOTH PARTIES:

There can be no claim without a Claimant **capable of making a claim** and a party **capable of being a Defendant**.

Please note that the words "claimant" and "defendant" are only capitalised to help you memorise the rules relating to them. In practice, these words are not capitalised.

Make sure to identify who the Claimant and Defendant is in your question.

Mental capacity:

CPR 21 Children under 18 or a party who lacks mental capacity to conduct litigation (a protected party) **must have a litigation friend** to bring a claim.

Incorporated bodies:

- * **Companies** may bring a claim as they are legal persons under the Companies Act 2006.
- * **Limited Liability Partnerships (LLPs)** may also bring a claim.
- * **Sole traders** can be sued in their trading name but they cannot use their trading name when bringing a claim.

THE USE OF WELSH LANGUAGE:

Welsh Language Act 1993 Welsh language should be treated no less favourably than English in public life in Wales.

The CPR has created a number of rules and considerations to take into account in relation to the use of Welsh language in civil proceedings.

These rules exist to allow for **Welsh speakers to be able to fully participate** in the proceedings without being disadvantaged.

This is the case for both **English and Welsh court proceedings**. – To determine the correct rules to use, consider the following test to identify whether the case should be heard in the English or Welsh courts.

Criteria for identifying where proceedings should be brought:

- * Geographical connection to Wales – whether the case involves events, acts taking place in Wales. – eg. **if the contract was to be delivered in Wales or the accident took place in Wales**.
- * Whether the proceedings fall under the jurisdiction of the Welsh courts – it automatically will if the case involved Welsh legislation.
- * If any of the parties (Claimant or Defendant) are based in Wales.
- * Whether the applicable law is Welsh – eg. **if the contract was to be delivered in Wales or the accident took place in Wales**.

- * Whether any of the documents submitted during the proceedings are in Welsh or relate to Welsh matters. – this could include a Letter of Claim, Claim Form etc.

Count each factor to identify whether the case is more closely connected to England or Wales.

Depending on whether you have decided that the case should go to the Welsh court or English court, the following rules will apply.

For proceedings either at English or Welsh courts:

The parties **must inform the court if Welsh will be used**, to ensure proper management and that appropriate arrangements can be made.

Documents can be submitted in either English or Welsh, and the court should be notified in advance if a Welsh document will be presented. HMCTS provides Welsh-language forms and translation services.

Allocation questionnaires:

For allocation questionnaires, parties must **include details about the possible use of Welsh**, such as Welsh-speaking witnesses and Welsh documents. This information must also be included in the directions questionnaire, even if previously communicated.

Case management:

During case management and interim hearings, parties should inform the court of any Welsh language use, and confirm this in pre-trial checklists.

Evidence:

Parties are able to submit written evidence in Welsh.

Non-compliance:

If either parties fail to comply with these rules, non-compliance may lead to a cost order against the non-compliant party or their representative.

Welsh court proceedings only:

These rules only apply to **civil proceedings in Wales or related to Wales**.

Hearings:

It allows hearings to be conducted entirely in Welsh if all parties and witnesses consent.

Cases where Welsh is to be used will be listed, where possible, before a **Welsh-speaking judge** and at courts with translation facilities if required. Court managers will ensure the availability of approved interpreters when needed.

Witnesses can choose to take oaths or affirmations in Welsh or English. In jury trials, jurors are informed they may take the oath or affirmation in either language.

If necessary, an **interpreter** will be hired and paid for by the court.

Who bears the costs?

If the use of Welsh leads to additional costs, these costs are managed within the court's procedures.

English court proceedings only:

Hearings:

If Welsh is used in hearings, the **court will make arrangements for translation**, if needed.

If necessary, an **interpreter** will be hired.

Who bears the costs?

If the use of Welsh in English courts leads to additional costs due to translation or other arrangements, these costs may be allocated as per the court's decision, similar to how they are managed in Welsh courts.

TORT AND CONTRACT CLAIMS

LIMITATION PERIODS:

There are set limitation periods for different types of claims within which the claim must be brought.

Most limitation periods are set out in a statute. If a Claimant runs out of this limitation period, they will be "statute-barred" from bringing a claim.

If a Claimant goes ahead and commences legal action after the expiry of the limitation period, the Defendant can raise the fact that the **limitation period has passed as a defence**. If the court accepts this defence, the claim will be **struck out**.

Why do we need limitation periods?

It becomes harder to collect evidence and call witnesses if a long time period has passed since the act/breach.

Key limitation periods:

There is a **lot of variation** to the limitation period depending on the type of claim or application being brought to the court.

CONTRACT	TORT
6 years from the breach of contract , not from when the contract was signed. – eg. did not satisfy obligations.	6 years from cause of action date (when the tortious act occurred) even if the Claimant was unaware of the breach and/or any damages occurred later. – eg. date of poor advice, not date of retainer.

Other rules on limitation periods:

Time for the limitation period will **stop running** once the Claimant delivers the correctly completed claim form and the correct fee to the court, **issuing proceedings**.

If the Defendant has been correctly identified, but their name is incorrect, it is possible to change their name even if the limitation period expired.

If the Claimant is a minor:

The limitation period runs from the **Claimant's 18th birthday**.

If the Claimant lacks mental capacity at the accrual date:

The limitation period runs from when the Claimant produces a **certificate that they are of sound mind**.

If the Claimant loses mental capacity after the accrual date:

The limitation period **stops** running from when the Claimant **loses capacity**.

For cases of fraud/concealment:

The limitation period runs from when the Claimant discovers/reasonably should have discovered the fraud/concealment.

TORT – LIMITATION PERIODS:

General rule:

General rule: tort claims must be brought within 6 years from the cause of action date (when the tortious act occurred/accrual date) even if the Claimant is unaware of breach and the damages occurred later.

Accrual date = the date when the tortious act occurred.

If the tort was not yet apparent on the accrual date:

Then **6 years** from when the Claimant **gained knowledge** of the tort and knowledge of who caused the tort.

Personal injury claims:

If the claim is a personal injury claim:

The claim must be brought within **3 years** from the **accrual date/knowledge**.

If the victim died because of the tort within 3 years of the accrual date, the claim must be brought within:

- 3 years** from the date of death
OR
- 3 years** from when the personal representatives of the deceased gained knowledge of the tort.

When is a tort claim a personal injury claim?

In order to identify whether your claim is a personal injury claim, you must look at the damage claimed by the Claimant. The Claimant may make a claim for personal injury and/or property damage.

If there is a claim for both in one proceedings:

- * One part of the claim will relate to **compensation for personal injury** due to physical or psychological harm suffered. The limitation period for personal injury claims is **three years** from the date of the injury or the date of knowledge – **Limitation Act 1980**
- * The second part of the claim will relate to **compensation for damage to or loss of property** (vehicles, buildings, personal belongings). The limitation period for property damage claims is generally **six years** from the date of the incident.

These claims are called **mixed claims**. **The limitation period will remain valid in respect of each element of the claim.**

If the Claimant is running out of time for the personal injury claim (3 year deadline is approaching), it is best to make both claims together. However, if time has already run out on the personal injury claim, the Claimant is still free to make the claim for the property damage.

Latent defects in property:

If the claim is a negligence claim for latent defects in property due to a fault in design/materials/workmanship that existed at the time when construction of the property/item was completed but was not apparent at completion – **the claim can be brought up until** (whichever is later):

- 6 years** from accrual of the action
OR
- 3 years** from the earliest date on which the Claimant knew or ought to have known the material facts necessary to bring a negligence action

Longstop date:

There is a **longstop date of 15 years** – no action can be brought after more than 15 years after the act/omission alleged to have caused the damage.

CONTRACT – LIMITATION PERIODS:

General rule:

General rule: contract claims must be brought within 6 years from the date of the breach.

Construction contracts:

For claims in relation to construction contracts: there is a **shorter limitation period** allowing the party in breach to **'make good' any defects** in the building, however this does not prevent the party that suffered a loss to make a **simple contract claim within** the usual **6-year** period. – The shorter period (which will be set out in the contract) will only apply to the requirement to 'make good' the defects. – **Look out for 'make good' clauses in the contract.**

CAUSE OF ACTION IN TORT AND CONTRACT:

Claim concurrent duties (sue for **both tort and contract**) and if limitation period is tight, one claim might still fall within the period.

Tort – Cause of action structure:

- Duty of care:** Reasonably competent advice from reasonably competent solicitor. – If you have a lawyer who gave negligent legal advice, sue the lawyer in tort and the LLP for breach of contract (LLP has deeper pockets and possibly insurance so they are more likely to be able to pay compensation).
- Breach:** Did the Defendant breach their duty? – eg. What was the solicitor's specialism? Would a similarly qualified property lawyer advise differently? Would a reasonable lawyer have caveated their advice?
- Causation:** Did the defendant's breach cause the Claimant's loss? – eg. Did the solicitor's breach cause the loss suffered? Did X rely on this advice? What would X have done if caveated advice? Is there a chance that they would have acted differently?
- Remoteness:** Was the damage suffered reasonably foreseeable?
- Loss suffered:** Must be foreseeable not too remote.
- Damages:**

Measure of damages:

1. Put the Claimant back in the position had the tort not occurred. Be wary of remote damages and contributory negligence.
2. Contributory negligence: if the loss has been partly caused by the Claimant's own negligence – damages received by the Claimant will be reduced.

7. Remedies

Contract – Cause of action structure:

1. **Duty**: The duties of both parties is set out in the contract governing the parties' relationship. – Look at any express and implied terms.

Implied terms:

s.13 Supply of Goods and Services Act 1982 The person performing services must act with reasonable care and skill.

If contract is for Sale of goods also look at the below:

- * The goods must be of satisfactory quality. – **s.14(2) Sale of Goods Act 1979**
- * The goods must be fit for the particular purpose of the buyer. – **s.14(3) SGA 1979**
- * If the sale is sale by description: any products sold by description must match the description. – **s.13 SGA 1979**

2. **Breach**: Did the Defendant breach a term of the contract? – eg. Express or implied term.

3. **Loss**: Did the Claimant suffer loss as a result of the breach?

4. Damages:

Measure of damages:

1. **Contract claims**: Put injured party in position had the contract been properly performed. The Claimant must mitigate.
2. **Debts**: it is a claim for a sum owed. No need to mitigate.

5. Remedies

COMPENSATION AND OTHER REMEDIES:

Remedies in contract and tort:

CONTRACT	TORT
Common law remedies: The purpose of these remedies is to put the Claimant into the position they would have been had the contract been properly performed. – the Claimant cannot profit from the claim. Damages (expectation loss, reliance loss, restitution) Liquidated damages (if available as set out in the contract) Equitable remedies: Specific performance (enforcing one of the parties to perform their duties under the contract) Rescission (rescinds the contract) Rectification (correcting a mistake in the contract to reflect the intention of the parties) Restitution (restoring the payment of a sum under a contract where the contract was never performed) Declaration (an interim/final declaration as to the finding of a fact or legal right – CPR 40.20) Injunction (Prohibitory or Mandatory injunction requiring a party to do something or	Common law remedies: The purpose of these remedies is to compensate the victim for their losses and the put them back into the position they would have been had the tort never occurred. Damages: * Nominal damages * Aggravated damages where additional compensation is required due to aggravating conduct * General damages which are assessed at court * Special damages calculated based on actual monetary loss until trial

refraining from doing something)

Specified sum or unspecified sum?

Specified sum claims = these are claims that can be quantified.

Unspecified sum claims = these are claims that cannot be quantified.

A claim may include a claim for a specified and an unspecified sum, it does not have to be one or the other.

Claimants have a general duty **mitigate their losses**, otherwise the court may reduce their damages award.

When to specify the amount claimed:

- * **Quantified claims**: If the claim can be precisely quantified, such as a specific amount owed under a contract or a defined sum of money, it should be clearly stated in the 'amount claimed' box. This includes any specific losses, costs, or expenses that can be calculated prior to filing the claim.
- * **Fixed costs claims**: In cases where statutory costs, fixed fees, or agreed expenses are involved, these should also be included in the amount claimed if they can be specifically determined at the time of filing.

When not to specify exact amounts:

- * **Unliquidated damages**: where damages are unliquidated (not predetermined by agreement) and depend on a court's assessment, such as claims for pain and suffering or other general damages in tort, the claim form should indicate that the exact amount is to be determined by the court. This is often marked as 'to be assessed'.
- * For **complex cases** where the full extent of damages cannot be ascertained immediately or depends on further developments (e.g., ongoing business losses, future medical expenses in personal injury cases), the form should state that damages are to be assessed.
- * **Interim or provisional claims**: Sometimes, you might only be ready to claim for part of the losses, or you anticipate needing further assessments or evidence to support additional claims.

QUESTION 1 – LIMITATION PERIODS:

Salma was employed at a chemical manufacturing plant. She has died 2 years ago, and at the time, her death was thought to be caused by heart failure.

A few months ago, another death occurred at the manufacturing plant, which has led to investigations into the safety protocols at the plant. It turned out that the employed had been negligent in implementing safety protocols, causing several deaths within the team working with toxic substances.

Further examination into Salma's medical records had confirmed that her heart failure was likely caused by the long-term exposure to toxic chemicals at work.

General rule: tort claims must be brought within 6 years from the cause of action date (when the tortious act occurred/accrual date)

If the tort was not yet apparent:

6 years from **gaining knowledge** of the tort and who caused the tort.

Personal injury claims:

3 years from the **tort/knowledge**.

If the victim died because of the tort within 3 years of the accrual date, the claim must be brought within:

1. **3 years** from the date of death
OR
2. **3 years** from when the personal representatives of the deceased gained knowledge of the tort.

There is a **longstop date of 15 years** – no action can be brought after more than 15 years after the act/omission alleged to have caused the damage.

QUESTION 2 – LIMITATION PERIODS:

Harvey has purchased a used car last year and has suffered an accident earlier this month. He is now in hospital in a coma with a fractured arm.

His brother, Adrien took the car to a specialist, who examined the car and found no issues. When Harvey woke up from the coma last week, he explained to his brother that he lost control of the car and he felt that the accident was caused by a mechanical problem.

Adrien takes the car to another specialist, who discovers that the car was faulty and that this was likely due to the negligent manufacturing of the car.

Harvey is now unable to work.

TORT:

General rule: tort claims must be brought within 6 years from the cause of action date (when the tortious act occurred/accrual date)

If the tort was not yet apparent:

6 years from **gaining knowledge** of the tort and who caused the tort.

Personal injury claims:

3 years from the **tort/knowledge**.

If the claim is a negligence claim for latent defects in property that was not apparent at the time – **the limitation period is** (whichever is later):

1. **6 years** from accrual of the action
OR
2. **3 years** from the earliest date on which the Claimant knew or ought to have known the material facts necessary to bring a negligence action

CONTRACT:

General rule: contract claims must be brought within 6 years from the date of the breach.

FUNDING CIVIL CLAIMS

LEGAL AID FUNDING:

Which type of claims might qualify?

The following will not be funded – alternative funding needed:

1. **Personal injury or death** – but injury due to clinical negligence is not excluded.
2. **Conveyancing, boundary disputes, defamation, wills/trust law, company/partnership law, contract claims**
3. **Employment cases negligence and consumer cases**

What type of funding is available?

Legal help: helping with preparing a case, but not litigation

Help at court: allows advocates to speak for the client at a court hearing without acting formally – one-off help for one trial.

Legal representation: covers preparation + litigation + representation.

Assessing whether a client qualifies for help:

Only available to individuals. **Must pass both the merits + means test.**

Merits test:

Moderate prospect of success is enough.

Will be refused funding if:

- Unlikely to win more than the case costs
- Alternative funding available
- Suitable for the small claims track
- Complaints procedure/ADR is not exhausted
- Unreasonable for the public to fund the case

Means test:

If the client or their **partner** receives benefit they are eligible. – eg. **income support or other benefits.**

If no benefits, then consider client's capital and income:

1. **Capital:** disposable capital is max. £8,000. (and also look at partner's capital)
AND
2. **Income:** gross monthly income is max. £2,657 + disposable income is max £733 per month. (and also look at partner's income)

Costs consequences of legal aid funding:

If a client keeps/gains money or property at the end of their case, then they may have to repay some or all of the legal aid costs. This is done through a **statutory charge**.

Example of statutory charge on the money/property:

If client wins damages of £20,000
Court orders costs of £4,000, LAA costs of £5,000
Statutory charge on damages: £5,000 - £4,000 = £1,000

If legal aid funding is not available:

Consider:

- * Entering into a no win no fee agreement with the law firm
- * Taken out/relying on existing insurance
- * Self-funding

No win no fee agreements:

Conditional fee agreements (CFA)	Damages based agreements (DBA)
If the client wins the case: Pays to the solicitor: • Basic fee • Disbursements • Success fee (pays out of pocket) • Insurance premium (pays out of pocket) Recovers from the other side: • Solicitor's basic fee • Disbursements • Damages	If lawyers lose the case, they do not recover any fees. If lawyers win the case, the max recoverable amount is capped: 1. at 25% of the damages in personal injury cases 2. 35% of damages in employment tribunal cases AND 3. 50% of damages in all other cases.

If the client loses the case:

Pays to the solicitor:

- Disbursements
- insurance premium
- Damages (if there is a successful counterclaim)

Recovers from the other side:

Nothing

Insurance:

If the policy was entered into after 1 Apr 2013: Insurance premium is not recoverable from the other side if the policy-holder then wins at trial and is awarded its costs.

Before the event (BTE) insurance	After the event (ATE) insurance
BTE insurance provides the client with an indemnity for the cost of any legal fees incurred as a result of any such future litigation. BTE premiums are relatively low (less than 1% of the insurance cover).	Criteria: merits of the case + the level of cover required, i.e. whether a particular insurance company is willing to take on the risk and on what terms. ATE premiums are more expensive (more than 25% of the insurance cover).

COMMENCING PROCEEDINGS

Statements of case are:

- * Claim Form
- * Particulars of Claim (if separate from Claim Form)
- * Defence
- * Counterclaim

PRE-ACTION PROTOCOLS:

Steps that the parties/their representatives must take before starting legal action.

Parties must:

- Exchange adequate info to understand each other's position
- Consider ADR
- Lessen the costs of resolving the dispute

Standard procedure:

1. Claimant will send out a Letter of Claim to the Defendant
2. **The Defendant need not send out an Acknowledgement of Service, but must send a Letter of Response:**
 - If there is a deadline in the Letter of Claim, within the deadline
 - **If no deadline and the claim is a simple claim**, within **14 days** of the date of the Letter of Claim
 - **If no deadline and the claim is complex**, within **3 months** from the date of the Letter of Claim
3. Parties should disclose key documents, whether they are planning on using a single joint expert.
4. Parties should consider ADR.

Professional negligence pre-action rules:

For claims against professionals only.

If reasonable chance of bringing claim against potential D, send **Preliminary Notice**. Acknowledge this within **21 days**.

When Claimant decides on the grounds, sends Letter of Claim

Other side has 3 months to investigate claim, then sends:

- Letter of Response with response to allegations and/or
- Without prejudice (WP) Letter of Settlement

If offers to settle or admits part of the claim, parties negotiate for max 6 months from Letter of Acknowledgement.

If the Claimant does not agree, Claimant sends written notice 14 days before issuing proceedings.

Personal injury pre-action rules:

The Letter of Claim should contain:

- * Summary of the facts
- * Details as to how the Claimant's injuries impact on their daily life
- * The hospital they attended and any reference numbers
- * An indication of financial losses – usually an estimate only.

Response to Letter of Claim:

The Defendant has 21 days to respond – this response will likely indicate whether the Defendant wishes to investigate the matter.

If so, **they have 3 months to admit/deny the claim.**

If the Defendant does not reply within **21 days**, the Claimant may issue the Claim form.

The letters sent from each party should include reference to documents that will be disclosed during the proceedings.

Instructing an expert:

- * If the Claimant will be instructing an expert, the Claimant should aim to choose a single-joint expert together with the Defendant, and discussions should start at this stage.
- * The Claimant must send a list of proposed experts to the Defendant who may disagree within **14 days**.
- * If the Defendant disagrees, each party must instruct their own expert.

Other pre-action protocol rules:

If you fail to follow the pre-action protocols:

- * The court may order that the **proceedings is stayed** to allow the Practice Direction/the pre-action protocols to be complied with.
- * The court may **order the non-compliant party to pay the costs** or part of it of the other party.

It may be acceptable to issue proceedings without compliance with the protocols if:

- * The limitation period is about to expire
- * A court order is needed to preserve evidence/assets OR
- * The Defendant may issue proceedings in another country to avoid the UK courts.

Pre-action application for disclosure:

Either party may make a pre-action application for disclosure of certain documents.

This can only be done if:

1. The documents requested would be disclosed under standard disclosure.
AND
2. Disclosure would now assist in disposing of the claim without having to issue proceedings and thus saving costs.

Application to inspect property:

Either party might make a pre-action application to inspect property if:

- The property is/may become the subject matter of the proceedings
OR
- It is relevant to the issues in the proceedings.

WHICH COURT?

Do not confuse this question with allocation to tracks!

Which Court to choose?

Identify the **value of claim**. **PD7A para 2.1**

Less than £100,000 even if complex – County Court. If deemed complex, case will be transferred later.

£100,000 or more – client has a choice: County Court and High Court has concurrent jurisdiction.



If there is a choice, consider the **factors in PD 7A para 2.4:**

1. **Financial value** – over **£100,000 by much?** **CPR 16.3(5)**
CPR 16.3(6) **CPR 26.8** Financial value = how much we expect to recover minus interest and costs for any counterclaim.
£125,000 is only £25,000 above the High Court threshold of £100,000 – commence the case in the County Court.

2. **Complexity:**

Simple claims:

- * Breach of contract – eg. **non-payment of an invoice is a simple debt claim.**
- * Parking charge appeals
- * Simple negligence claims

Complex claims:

- * International cases – eg. **the Claimant is based in the UK, the Defendant is based in Singapore.**
- * Cases with differing jurisdiction and law – **English jurisdiction but Spanish law.**
- * Multiple parties
- * Expert witnesses will be required

3. **Importance to the public** – not public interest

Which High Court division?

- * King's Bench Division – contract, tort
- * Chancery Division – IP, land
- * Family Division – family law cases

The high court in London is the **Royal Courts of Justice**.

What if the case is brought in the wrong court?

CPR 30.3 If the case is brought in the wrong court, **transfer is likely**.

CPR 30.3(2) Transfer order factors:

- * Financial value, complexity, public interest factors as above
- * Convenience, fair to transfer
- * Availability of specialist judge in regional specialist court
- * Facilities for disabled/potential witnesses

Sanctions:

- * The court may order C to pay the costs of the transfer.
- * Additional sanction for wrongly bringing a claim in the High Court instead of the County Court. – **s.51 SCA 1981**

County Court:

- * Simple facts/law
- * Lower value

High Court:

- * Complex facts/law
- * High value

COUNTING TIME: *POPULAR EXAM Q*

What is the document served?

Is the document being served a Claim form or some other document?

If the Particulars is not served with the Claim Form it must be served within 14 days of service of the Claim Form.

If Claim form – how has it been served?

Service of Claim Form (CF)? *Only mention if asked*

Serve the Claim Form by sending it to court with one copy for each Defendant, one for Claimant, one for court + court fee

Sealing Claim Form = starts proceedings and stops the limitation period.

Where to serve CF?

Serve the Claim Form at the solicitors' address.

If sending to solicitor, they must be authorised to accept service.

If no solicitor:

- * D's last known place of residence or company's principal office. – it will not matter if the Claim Form has not been actually received.
- * If the serving party had a reason to believe other party was no longer there – then serving party must take reasonable steps to find address.

Who serves the CF?

- * The court by post or the Claimant.
- * File certificate of service within 21 days of service of the Claim Form, unless all Defendants filed an Acknowledgement of Service.

How to serve the CF?

The Claim Form must be served by taking 'relevant step' within 4 months of issue of the Claim Form. Serve the Particulars of Claim at same time as the Claim Form.

Method of service	Relevant Step
First class post	Post or leave with postal service
Delivery or leaving at address	Delivered or left at address
Personal service	Leave with individual or partner at company
Fax (if other party accepts fax)	Fax transmitted
Electronic service – eg. email	Email sent

If the Claimant is to serve the claim form late, apply for an extension before the period ends.

Good to know the deemed date of service of the CF:

- For Claimants: the time limit for serving the Particulars of Claim runs from the deemed date of service of the claim form.
- For Defendants: the deadline for serving a response to the claim form runs from the deemed date of service of the claim form.

Claim Form is deemed served on 2nd business day after the relevant step. – eg. If posted on Friday, deemed served on Tuesday

If only dealing with CF, skip the next heading and start counting time.

If documents other than a claim form – how has it been served?

Service of any document other than Claim Form:

Method of service	Deemed served
First class post	2nd business day after posting
Delivery or leaving at address	If served before 4.30pm on a business day, then same day, otherwise next business day.
Personal service	
Fax (if other party accepts fax)	
Electronic service	

Particulars of Claim:

Serve the Particulars within 4 months of taking relevant step

If Particulars served same time as the CF:

It will be deemed served at the same time as the Claim form.

If Particulars served separately from CF:

Above rules on service apply to the Particulars of Claim. Must serve the Particulars 14 clear days after CF served.

Particulars of Claim – How to respond?

D must respond in one of 3 ways within 14 days of deemed service of the Particulars:

1. Admit part or all of the claim
2. File defence within 28 clear days of deemed service of Particulars
OR
3. File Acknowledgment of service using Form N9. Do this if:
 1. You need more than 14 days to prepare the defence
OR
 2. If it wishes to dispute that the court has jurisdiction to hear the claim.

File an acknowledgment of service within 14 days after service of the Particulars

Acknowledgement of Service + Defence:

File the Acknowledgement of Service 14 days after Particulars deemed served:

- File the Acknowledgement of Service together with the defence
OR
- File the Acknowledgement of Service separately

File the defence 14 days after Particulars or if acknowledged service, file the defence 28 clear days after the Particulars of Claim.

Counting time:

Days = always 'clear days' not incl. first day. If last day ends with event (hearing), then add 1 day. Therefore, the day of deemed service is always treated as 0, then stop counting on the 14th day. If 14th is a hearing date, skip that day and stop at the 15th day.

If period is 5 days or less ≠ incl. weekends + bank holidays

Notice served at least 3 days before hearing (Friday 20 Oct) - last date of service = Monday 16 Oct

If period is > 5 days = incl. weekends + bank holidays

Eg. Particulars served within 14 days of CF. If CF deemed served on 3 Feb, last date of service = 17 Feb

TIME EXTENSIONS:

The Defendant may agree with the Claimant to **extend the deadline** for service if they cannot serve the defence in time.

The parties can agree among themselves to extend the deadline by up to **28 clear days** from the deemed service of Claim Form, so that the Defendant has 56 days in total to serve its defence. The parties must notify the court in writing.

If the Defendant needs more time than 28 days, the Defendant should make an interim application to extend time:

The court will ensure that the overriding objective is furthered in deciding whether to grant an extension of time. The court may accept or reject the application.

JUDGMENT IN DEFAULT

Judgment in default = **Judgment without trial** in the Claimant's favour due to the Defendant's default. This is done at the early stages of a claim where the Defendant has **not submitted** an Acknowledgement of Service and/or the **Defence in time or at all**.

REQUIREMENTS:

Claimant may apply if: the Defendant did not file the Acknowledgement of Service or defence within the time limits.

The Claimant must **apply promptly**.

The Claimant must show that:

- * The Claimant filed a certificate of service
- * Application was made on notice and with all the relevant evidence
- * The claim has not been admitted or satisfied
- AND
- * No application made for summary judgment or strike out.

THE DEFENDANT'S OPTIONS:

Once the default judgment has been entered, the defendant has the option to **apply to have the default judgment set aside**. – **CPR 13.2**

This application may be made on **mandatory or discretionary grounds**.

Grounds:

Mandatory grounds (court must set aside judgment in default if):

- * Acknowledgement of Service/Defence was served within time limit. – **CPR 13.2(a)**
- * D applied for summary judgment or strike out before the default judgment was entered. – **CPR 13.2(b)**
- * D has satisfied/admitted claim before the application. – **CPR 13.2(c)**

Discretionary remedy (court may set aside if):

- * The Defendant has real prospect of defending the claim.
- * There is a good reason to set aside the judgment. – **eg. length and reasons for D's delay**

Test for setting aside default judgment:

FXF v English Karate (2023) The Denton test also applies to applications setting aside default judgment.

Denton Test for relief from sanctions. Relief will be granted if:

- * The breach is **not serious/significant**
- * There is a **legitimate reason for the breach** – Defendants must explain what the reason was for their non-compliance.
- * **Other circumstances** that suggest relief should be allowed, in particular, whether the application to for relief was made **promptly** by the applicant.

STATEMENTS OF CASE

Statements of case are as follows:

- Claim Form
- Particulars of Claim (if separate from Claim Form)
- Defence and Counterclaim

PARTICULARS OF CLAIM:

The Claimant must send out a Particulars of Claim detailing their case and must disclose enough information to identify all issues.

The Particulars of Claim must include:

- * **For contract claims:**
 1. The parties to the contract
 2. The nature of the contract
 3. The terms that have been breached
 4. Fact pattern showing the breach and losses
 5. Prayer for relief (the remedy sought)
 6. Statement of truth
- * **For Road accident claims:**
 1. Date, time, place and description of the collision
 2. Details of negligence
 3. Any relevant convictions
 4. Details of any injuries
 5. Schedule of past and future losses
 6. Prayer for relief
 7. Statement of truth
- * **For personal injury claims:**
 1. Date, time, place and description of the accident
 2. Details of negligence
 3. Any relevant convictions
 4. Details of any injuries
 5. Schedule of past and future losses
 6. Prayer for relief
 7. Statement of truth.
- * **For employer liability tort claims:**
 1. Facts that establish the employer-employee relationship
 2. Circumstances and details of the injury
 3. Breach
 4. Schedule of past and future losses
 5. Prayer for relief
 6. Statement of truth

If you are claiming interest, include:

1. The basis for the claim, the applicable percentage
2. The date on which the interest ends (usually the day when the Particulars of Claim was drafted)
3. The total amount claimed

Other points to include, if relevant:

1. Any illegality surrounding the case
2. Allegations of fraud
3. Misrepresentation
4. Breach of trust
5. Notices of knowledge of a fact
6. Unsoundness of mind
7. Undue influence of either party
8. Details of wilful default
9. Defendant's failure to mitigate loss or damage

DEFENCE:

A Defendant should then prepare a defence in response (however, they do not need to if they do not wish to defend the claim). Once a defence is prepared, it should be served on every other party to the claim.

The Claimant may then send a **Reply** to the defence if they wish to.

Admit, deny, require proof:

In the defence, the Defendant must respond to each paragraph in the Particulars of Claim by:

1. Admitting it
2. Denying it
- OR
3. Requiring proof of the statement (also called a non-admission)

Admit:

Admit anything that is not disputed or non-controversial. In a contract action, it is usual to admit the existence of the contract and sometimes its performance and its terms.

Deny:

Denials are used to dispute any facts which, if they had occurred, would have been within the defendant's knowledge. If a defendant denies an allegation it must give reasons or put forward a different version of events.

In a contract claim, it may be possible to deny that:

- a) The debt is due, or
- b) The term relied upon exists, explaining why – eg. **because the sale was not in the course of business.**

Require proof:

This term is used if the Defendant is unable to either admit or deny because the fact that is alleged is something about which the Defendant did not and could not know. In contract claims, the Defendant usually requires proof of the amount of the alleged loss and damage.

Specific rules:

If the Defendant disputed the Claimant's statement of value, they should state the reasons why and state their own value.

For personal injury claims:

The defence must state whether the Defendant agrees with the medical report served with the Particulars of Claim.

A Defendant may admit damages subject to liability – thus a Defendant may admit the amount of damages but deny liability. If this is the case, the Claimant will recover the agreed damages if they prove liability.

Example:

Respond to each paragraph of the Particulars of Claim – example paragraphs:

- **At all material times paragraph – admit.** There is nothing controversial in this paragraph. In fact, the comment that 'the Defendant was a manufacturer of cat furniture' helps Pets's case that this was a sale in the course of a business.
- **The Claimant entered into a contract with the Defendant on 11 October 2024 and the price for the Goods was £200,000 – admit.** There is nothing which Pets disputes here. The parties entered into the contract and Pets does not dispute that the price agreed was £200,000.
- **It was an express term of the Contract that payment for all services and goods provided would be due 30 days from the date of the invoice and that interest would be payable at 8% per annum on late payment. – admit.** Again none of this is controversial and it describes what happened. The fact that the invoice was not paid (breach) is separate so use a separate paragraph.
- **In breach of the express term of the Contract, no payment has been made by the Defendant. – this would be denied by saying that there was no breach of contract.** The Defendant could deny liability to pay the invoice for example if the products malfunctioned or were not as described which meant that there had been a breach of the implied term in the contract that the goods were of satisfactory quality.
- **As a result of the breach, the Claimant claims the sum of £200,000 – the loss figure here would be admitted or denied depending on whether you are disputing the figure or not.**
- **The paragraphs claiming interest – this should be denied.**

DIFFERENT TYPES OF CLAIMS:

There are three key types of claims the SQE may test you on:

1. **Part 7 Claims** – your usual claim where the Claimant and the Defendant are in dispute of facts.

Example:

Jessabelle makes a claim for breach of contract against Aubrey, in relation to works that have not been carried out to the required standard. Aubrey says that this is not correct, and he has performed the contract according to the specification.

2. **Part 8 Claims** – a claim where the Claimant and the Defendant are not disputing any of the facts (relatively rare).

Example:

Molly is the personal representative of her father, who has passed away last week. She requires guidance from the court, as she is unsure how to interpret her father's will. There are no facts in dispute here, so the claim will be made under Part 8.

3. **Part 20 Claims** – claims that are additional to the principal claim.

PART 20 CLAIMS:

Part 20 claims include:

- * The Defendant's claims against third parties who are potentially liable to pay compensation to the Claimant/Defendant
- * The Defendant's counterclaims against the Claimant

The Defendant must obtain court permission to file:

1. A counterclaim
2. A third-party claim
3. Indemnity/contribution
4. Counterclaim against another third party

If the counterclaim, third party claim or indemnity/contribution is **filed together with the defence**, then the Defendant does not need to obtain court permission.

Thus, if the Defendant wishes to make these claims at another time, they must obtain court permission.

Serving the Claim:

- * If court permission is not required, a Part 20 claim must be served on each party to the claim when the defence is filed.
- * If an additional claim is issued by the court later, it must be served on the person against whom it is made within **14 days** of issue.

Defences to Part 20 claims:

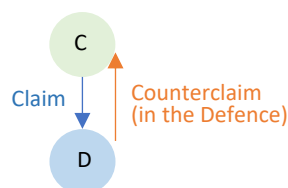
Defences must be served within **14 days** of the deemed date of service of the Part 20 claim.

Counterclaim:

Counterclaim = when a Defendant makes a claim against the Claimant in the defence where this claim is arising from the same set of circumstances as the Claimant's claim.

Counterclaims must be brought within the same proceedings. – **typically, as part of the defence.**

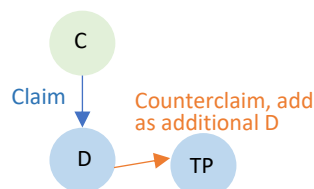
Counterclaims are monetary claims in their own right.



Third-party claims:

Third-party claim = a Defendant claims that a third party (who is not party to the claim) has caused the Claimant's losses.

The Particulars of Claim must be served with the third-party claim.



Counterclaim against another third party:

A Defendant counterclaims a third party (who is not party to the claim) for compensation. These counterclaims must arise out of the same proceedings as the main claim.

These claims may only be made after obtaining a court order.

REQUESTS FOR FURTHER INFORMATION:

Either party may send a **request for further information to any of the other parties** to clarify a matter in dispute/get additional information.

If the other party does not respond within a reasonable time, the requesting party may make an application to the court.

The other party may object – grounds for objection:

- * The request is unnecessary/irrelevant/improper
- * The information is protected by privilege
- * The responding party is unable to provide the information requested
- * The responding party was given insufficient time to respond
- * The costs of complying with the request would be disproportionate to the claim
- * Complying with the request would be contrary to the overriding objective

AMENDMENTS TO STATEMENTS OF CASE:

Once the **Statements of case** is served, it **can be amended by written consent** of all the parties/court permission.

A new party can be added to the proceedings, if it is shown that adding the party will allow the court to resolve the matters in dispute/resolve a connected matter.

A court may order a person to cease to be a party, if it would not be desirable for them to be a party to the proceedings.

A party may be substituted for an existing party, if:

- * The existing party's interest/liability has passed to the new party AND
- * It is desirable to substitute the new party so that the court can resolve the matters in dispute.

DEFENDANT'S ADDITIONAL CLAIMS

Part 20 governs the **Defendant's claims**, and therefore, none of the Claimant's additional claims fall within Part 20.

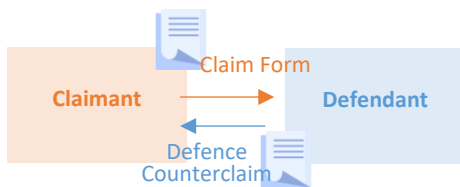
Any **additional parties the Claimant** might add is done under **Part 19**. In this case, all the Claimant needs to do is add in any additional Defendants or Claimants onto the Claim Form and Particulars of Claim **before** it is served **or** change them **after** service with the court's permission.

Please note: all of these claims made by the Defendant are treated as substantive claims and a Defence must also be filed in response to these within the time limits.

COUNTERCLAIM AGAINST THE CLAIMANT:

Recognise this claim:

CPR 20.4 In many cases, the Defendant may submit a counterclaim with their defence (or later), a **separate claim against the Claimant**.



Example:

Larry has recently bought his first home. He hires Thomas, a builder to install his kitchen. Larry later finds out that the sink is leaking and the kitchen surface around the sink was not installed properly. He refuses to pay Thomas' invoice for the installation.

Thomas makes a claim for non-payment of the invoice and when Larry files his defence, he also files a counterclaim against Thomas as he now cannot use his kitchen and has suffered a loss as a result.

The rules in relation to this claim:

How can the Defendant submit this type of counterclaim?

The Defendant may submit their counterclaim:

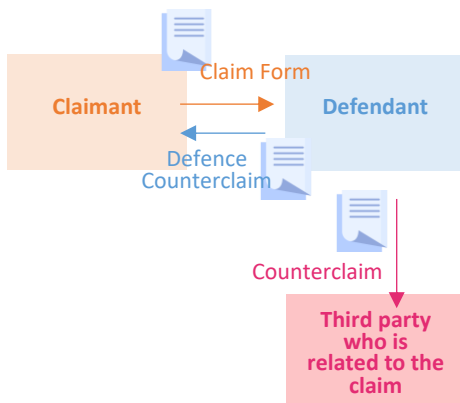
1. **When Defence is filed** – permission is **not** needed. – **CPR 20.4(2)**
2. **After Defence is filed** – court permission is required.

PD 20(6.1) Defence and Counterclaim is usually in one document but counterclaim can follow the defence.

COUNTERCLAIM AGAINST A THIRD PARTY:

Recognise this claim:

CPR 20.5 Instead of a simple counterclaim against the Claimant, the Defendant might submit a **counterclaim against both the Claimant and a third party**.



Example:

Larry has recently bought his first home. He hires Thomas, a builder and Anthony, a plumber, to install his kitchen. Larry later finds out that the sink is leaking and the kitchen surface around the sink was not installed properly. He refuses to pay Thomas' invoice for the installation. (Notice that it is Thomas' invoice that is unpaid and he is the one who makes the claim not Anthony.)

Thomas makes a claim for non-payment of the invoice and when Larry files his defence, he also files a counterclaim against Thomas and also Anthony as a third party to the claim as he now cannot use his kitchen and has suffered a loss as a result.

The terminology might change depending on the point of view.

If you are looking at the situation from the point of view of the Original Claimant, then the Defendant will be the Defendant.

The rules in relation to this claim:

How can the Defendant submit this type of counterclaim?

Counterclaim against someone other than Claimant:

- * There must be substantive connection between Claimant and the third party.
- * In this case, **court permission is always required**. – **CPR 20.5(1)**
- * Apply to the court pursuant to both CPR 19 and 20 as the Defendant making the counterclaim is now also the Claimant.
- * **Document to use:** N211 claim form

Substantive connection with the Claimant – examples:

- * Employee-employer where the employer is vicariously liable, so the employer should have been sued.
- * Work carried out together but only one of them is being sued.
- * Someone else was the wrongdoer who wronged the Claimant even if that third party had no relationship with the Defendant.

CONTRIBUTION/INDEMNITY AGAINST CO-DEFENDANT:

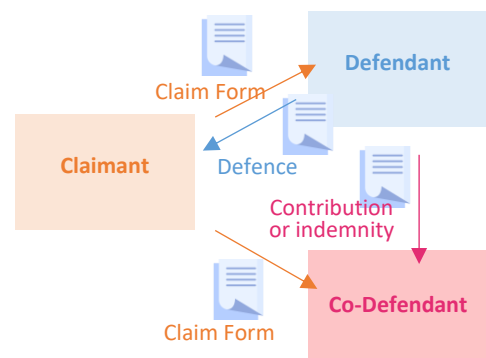
Recognise this claim:

CPR 20.6 The Defendant may make a claim for **contribution/indemnity against a Co-Defendant**.

Contribution = A right to recover from a third person **all/part of the amount** which they themselves are liable to pay.

Indemnity = A right to recover from a third person **the whole amount** which they themselves are liable to pay.

Co-Defendant = another Defendant to the case who has been included as a Co-Defendant when the Claimant made the original claim.



Example:

Larry has recently bought his first home. He hires Thomas, a builder and Anthony, a plumber, to install his kitchen. Larry later finds out that the sink is leaking and the kitchen surface around the sink was not installed properly.

Larry makes a claim for these defects suing both Thomas and Anthony. Thomas and Anthony had no contract together, but they were both contracted by Larry. In the claim form, Larry makes a claim against both to contribute 50-50 towards the losses he suffered.

Thomas does not agree with this and admits liability for some of the losses, 15%, but claims that the remaining 85% should be paid by Anthony, who carried out the plumbing work.

Thomas proceeds to make a claim against Anthony for contribution.

Claims for indemnity/contribution will always be **made by the wrongdoer**. If the Defendant in your claim has not done anything wrong apart from refusing to pay an outstanding amount, then they cannot make a claim for contribution/indemnity.

Refusing payment will not make one party the wrongdoer, this is usually done as a response of a wrongdoing.

The rules in relation to this claim:

How can the Defendant submit this type of contribution/indemnity?

Contribution or indemnity (100%) from co-Defendant:

1. **When Defence is filed** – permission is not needed. – **CPR 20.6(2)**
2. **After Defence is filed** – Court permission is required.
3. **Document to use:** D's claim for contribution or indemnity will be set out in a contribution notice. There is no set form for this.

How this works in practice:

1. If C is successful, C will have a judgment against D which they will enforce.
2. If D is also successful in their Part 20 claim against co-D, D will have a separate judgment against co-D, so they will claim their contribution or indemnity from co-D.

CONTRIBUTION/INDEMNITY AGAINST THIRD PARTY:

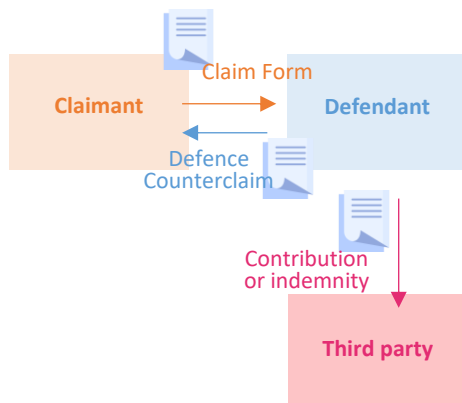
Recognise this claim:

CPR 20.7 The Defendant may make a claim for **contribution/indemnity against a third party**.

However, this is also a “catch-all category” for any claims that do not fit into the previous three categories.

Contribution = A right to recover from a third person **all/part of the amount** which they themselves are liable to pay.

Indemnity = A right to recover from a third person **the whole amount** which they themselves are liable to pay.



Example:

Larry has recently bought his first home. He hires Thomas, a builder and Anthony, a plumber, to install his kitchen. Larry later finds out that the sink is leaking and the kitchen surface around the sink was not installed properly.

Larry makes a claim for these defects against Thomas. Thomas and Anthony had no contract together, but they were both contracted by Larry.

Thomas admits liability for some of the losses, 15%, but claims that the remaining 85% should be paid by Anthony, who carried out the plumbing work.

Thomas proceeds to make a claim against Anthony for contribution.

The rules in relation to this claim:

How can the Defendant submit this type of contribution/indemnity?

Other additional claims for contribution or indemnity against third party who is not already part to the claim: **CPR 20.7**

1. **When Defence is filed** – permission is not required. – **CPR 20.7(3)**
2. **After Defence is filed** – court permission is needed. **Counterclaims are usually not filed together with the Defence.**
3. **Document to use:** N211 claim form

COUNTERCLAIM VS CLAIM FOR INDEMNITY:

When someone makes an indemnity claim against another, the Claimant (in that situation) will want to receive the money they would be paying for the claim as the Defendant.

If this is the case, how is making a **claim for indemnity different from a counterclaim**?

A claim for indemnity can only be made if there is some form of contract between the parties allowing one of the parties to make a claim for indemnity in certain circumstances.

Indemnity – Examples:

1. If someone is **vicariously liable in tort**, for example in relation to an employer-employee relationship, they may receive a claim for **indemnity under the contract**.
2. If there is a **breach of contract** that triggers the operation of an **indemnity clause in a contract**.

A counterclaim is a completely separate claim existing in its own right. – **could be a claim for breach of statutory duty, tortious claim for negligence etc.**

You can make a claim for contribution in relation to tort claims, however, for indemnity claims, you will need to have a contract with an indemnity clause, otherwise you would need to make a counterclaim

CASE MANAGEMENT

CPR 1.1 Overriding objective: the court must ensure that cases are dealt with justly, fairly and proportionately.

CPR 1.2 The court **must give effect** to the overriding objective when exercising its case management powers.

CPR 1.3 Solicitors and parties to a claim have a **positive duty to help** the court achieve its overriding objective.

Case and costs management are interlinked and are both dealt with at the **allocation stage**. The CMC often doubles as a costs management hearing and is referred to as the costs and case management conference (CCMC).

THE COURT'S POWERS:

It is the court's duty to manage cases actively, dealing with cases:

- * **Justly and at proportionate cost**
- * **Within a reasonable time**
- AND**
- * **By proportionate use of court and party resources**

Powers:

Court has general case management powers to:

1. Extend/shorten time limits for compliance with a rule/practice direction/court order
2. Adjourn/change hearing dates
3. Require a party/their legal representative to attend court
4. Exclude an issue from the proceedings and direct that part to be dealt with in a separate proceedings
5. Stay the whole/part of the proceedings
6. Try 2 or more claims at the same trial
7. Order a party to file/serve an estimate of costs
8. Contact the parties to monitor compliance with directions
- AND**
9. Take any other step/make any other order to manage the case and further the overriding objective

Court has the power to make an order of its own initiative regardless of hearing or representations.

SANCTIONS:

Key sanctions:

Consider court sanctions eg. if 1 party doesn't comply with pre-action protocol because may have avoided litigation if complied.

Failure to comply with the rules/court orders will attract a sanction.

Sanction = punishment imposed by the court.

Seeking to obtain 'relief from sanctions' = Trying to persuade the court not to impose a sanction where due.

Key sanctions the court can impose:

Broad powers!

1. Making an order subject to conditions
2. Setting out consequences for failure to comply with an order.
3. When giving directions, court may take into account compliance with the pre-action protocols
- AND**
4. Ordering a party to pay the court for failure to comply with a rule/practice direction/pre-action protocol

Additional powers:

- Make a costs order in relation to either party
- Prevent a party from adducing evidence on an issue (debaring evidence)
- Limit interest on a claim/increase the interest amount payable
- Impose an **unless order**: unless party complies with the relevant rule, sanction will be enforced.
- **Strike out whole or part of the case – rare.**
Once deleted, the party cannot rely on it in the proceedings. This power is used to strike out inappropriately drafted paragraphs or as a sanction for abuse of court process.

Relief from sanctions:

If a party has a good reason for non-compliance, the court may grant relief from sanctions.

Test for relief from sanctions. Relief will be granted if:

1. **The breach is not serious/significant** – Does the breach imperil future hearing dates? – eg. filing late by 45 mins is not serious, but repeat offenders are more likely to be serious. Significant if trial had to be vacated because of it.
- OR**

2. **There is a legitimate reason for the breach** – eg. solicitor or party overworked is not legitimate reason

UNLESS ORDER:

An order that **unless the party** that has not complied with the CPR **complied with the CPR requirements within the time limits** set out by the order, **the court will order the strike out** of that party's case.

Grounds: CPR 3.1(3) and CPR 23

- * The Respondent in an interim application has **failed to comply** with the previous order or the overriding objective.
- OR**
- * The courts believe that it is likely that the **Respondent is not acting in good faith.**

When an order is made:

The court will specify the sanction to be received by the Respondent should they not comply with the unless order within the prescribed time limits.

EXTENDING THE DEADLINE:

Exam Structure – Extending the deadline:

1. Which CPR was breached?
2. Deadline for compliance passed/extended?
State the deadline start and end date here.
3. Has the deadline expired? Is the application in time or out of time?
4. CPR + Any relevant case law

In time:

- * **Applicant's reason for an extension**
- * **Delay in making the application?**
- * **Overriding objective**
- * **Will it cause any disruption?**

Out of time:

- * **CPR 3.9**
- * **Denton**

5. **Apply**
6. **Conclude**

In-time applications:

If you applied for extension before the deadline, use this procedure.

Chartwell v Fergies For in-time applications, the relief from sanctions procedure won't apply, irrespective of when the court deals with the application.

Teresa Baker Reasonable in-time applications will be allowed, if doesn't disrupt conduct of litigation – eg. hearing date stays the same.

Full example – application to facts:

1. **Is the application in time or out of time?** In time – 21 days before the CCMC (this is enough if you don't have the dates)
2. **CPR + Any relevant case law + Apply**

In time:

 - * **Applicant's reason for an extension**
Expert witness is on holidays
 - * **Delay in making the application?**
Applicant argues no delay as only 2 days passed since witness went on holidays but Respondent will argue that they have learned the expert witness would be on holidays 3 weeks ago.
 - * **Overriding objective**
No delay in proceedings.
 - * **Will it cause any disruption?**
The CCMC is on the 19th. Applicant asked for extension till the 11th. We are asking for the Precedent H to be due in the same time as Precedent R. The counsel gets back on 3rd or 4th so could extent till then. The court will never want to move the other dates.
3. **Apply:** considering the above, another week is acceptable.
4. **Conclude:** application should be allowed

Out of time application:

If you applied for extension after the deadline has passed, use this procedure.

Brutal sanction for out of time: it is treated as if you only filed the court fees.

CPR 3.9(1) Apply for relief from sanctions, as late application.

Denton Test for relief from sanctions. Relief will be granted if:

3. **The breach is not serious/significant**
Test: Does the breach imperil future hearing dates?
eg. filing late by 45 mins is not serious, but repeat offenders are more likely to be serious. Significant if trial had to be vacated because of it.
4. **There is a legitimate reason for the breach**
eg. solicitor or party overworked is not legitimate reason
5. **Other circumstances** that suggest relief should be allowed, with particular weight to **CPR 3.9(1)** criteria:
 - Litigation must be conducted efficiently and at proportionate cost, and
 - Enforce compliance with the rules, PDs and orders.

If one applies, likely to approve relief. The breach must be minor and not delay hearing date.

Full example – applying to the facts:

1. **Is the application in time or out of time?**
21 Nov = deadline, should have applied by then. – out of time.
2. **CPR + Any relevant case law**
Out of time:
 - (a) CPR 3.9
 - (b) Denton (go through Denton in the exam)**Denton Factors:**
 - **Seriousness of the breach**
Failing to exchange witness statements on time is serious.
 - **Why the default occurred**
Francis was sick, how severely sick? Has he got a cold or is he unconscious unable to write the statement?
 - **Evaluate all the circumstances.**
Mainly look at: CPR 3.9(1)
Litigation is important. No other person to be a witness?
3. **Apply: only 1 day late, but not a good reason.**
4. **Conclude: appl. should be allowed as 1 day would not affect the proceedings.**

ALLOCATION:

Once the defence has been filed, the **County Court** will allocate every case to a particular track.

Allocation is, however, in the **direction of the court**, so they may ultimately decide to allocate a case which was meant to be allocated to the multi-track, to the intermediate track or another track.

Four tracks:

1. Small claims track
2. Fast track
3. Intermediate track
4. Multi-track

Small claims track:

Value of the claim is less than £10,000.

For personal injury claims: value must be less than £1,000.

Recoverable costs will be limited to **fixed costs** (what the court deems reasonable for the type of case).

Fast track:

Between £10,000 and £25,000.

AND

Other factors to consider for fast track:

- Trial should be expected to take less than 5 hours
- AND**
- There will only be one expert per party.

Intermediate track:

Cases between £25,000 and £100,000

AND

Other factors to consider for intermediate track: CPR 26.9(7)

- Trial is not expected to last longer than 3 days.
- There will only be up to 2 experts per party.
- AND**
- There is a maximum of 3 parties to the claim.

Multi-track:

All other types of cases

Example:

Four people are injured in a car accident, injured in the same vehicle. All four of them make a claim against the negligent driver who caused the incident. Even if the value of the claim is only £38,000, the claim will have to be allocated to the multi-track because there would be five parties involved (four claimants and one defendant).

PROCEDURE:

STEP 1 – Notice of Proposed Allocation (NPA) – All tracks:

CPR 26.4(1) After the defence is filed, court assigns the case to suitable track + sends NPA. Parties can then fill in the Directions Questionnaire and accept the allocation or argue for a different track.

CPR 26.8(1)-(2) Lists all additional factors for allocation – eg. likely complexity, number of parties, nature of remedy.

STEP 2 – Directions Questionnaire (DQ) – All tracks except the small claims track:

CPR 26.4(6)(b)(ii) DQ is filed 28 days using Form N181 after NPA deemed served (4.30pm business day rule, except for post).

The document will contain:

- Which court to allocate case
- Number of witnesses/experts
- Estimated trial length
- Directions asked for

CPR 29.4 Agreed proposed directions order or if disagree, proposed directions (adapted standard directions) must be filed within 7 days before CMC Statement.

STEP 3 – Disclosure Report (DR) – Intermediate track and multi track cases only:

CPR 31.5(3)-(8) Both parties produce a DR max 14 days before the first CMC.

STEP 4 – Allocation – All tracks:

Once all parties have filed their DQ:

CPR 26.7 Court will allocate claim to a track

CPR 26.4 Court will send parties a Notice of Allocation

CASE MANAGEMENT CONFERENCE:

Case Management Conference (CMC):

CMC = Meeting to approve of directions for conduct prior to trial + narrow any issues.

File case summary before CMC if this helps court to understand the case better.

Representative attending a CMC must be familiar with the case and have sufficient authority to deal with the case. If contravened and CMC is postponed, the court may make a wasted costs order (solicitor pays).

Directions:

Directions = court instructions on how to prepare for case – eg. how to exchange witness statements, deadlines, hearings.

- **If parties do not agree directions:** must conduct case and costs management conference.
- **If parties agree:** no CMC but separate costs management conference.

COSTS MANAGEMENT

COSTS BUDGETS:

Parties must deal with costs at the allocation stage – this involves the legal costs of a case (legal fees and disbursements).

Costs and case management conference (CCMC) happens where CMC doubles as a costs management hearing.

Costs budget = a budget estimate of reasonable and proportionate costs that party expects to incur during litigation. – **Tactical point: high budget will convince opponent into mediation, leading to early settlement.**

Costs budget – Precedent H:

Who needs to file a costs budget?

All parties to an **intermediate track or multi-track case** must file and exchange **costs budgets** setting out estimated costs for each stage in the proceedings.

Exceptions to the need for preparing a costs budget:

1. Litigants in person need not file a costs budget.
2. No need to file a costs budget if the court orders not to file it.
3. If the value of the claim exceeds £10 million.
4. If the claim is brought by or on behalf of a minor (under 18).

Precedent H = prescribed form for the costs budget. May lead to Costs Management Order (CMO) and secure early settlement.

Precedent H must contain assumptions on which the budget is based and will contain the costs already incurred and an estimate of future costs.

What type of costs budget to file?

Use the first page of Precedent H if:

- The value of the claim is less than £50,000
OR
- The budgeted costs of that party do not go over £25,000.

In any other cases, use must use the full Precedent H.

What is the deadline for filing?

If the value of the claim is less than £50,000:

1. Not later than **21 days before the first CMC**. The deadline is set out in the notice of proposed allocation. – **Count back 22 days from the CMC date, because clear day rule does not include the hearing date.**
OR
2. If the claim is a **multi-track claim**: The costs budgets should be filed and exchanged with the parties' Directions Questionnaire. – **CPR 3.13(a)**

Budget discussion report – Precedent R:

If a costs budget has been filed, a budget discussion report must also be filed at a later date.

Precedent R = prescribed form for budget discussion report.

The budget discussion report must include:

- The figures that are agreed and not agreed for each phase of the proceedings
AND
- A summary of the grounds.

The parties must file and exchange a budget discussion report no later than **7 days before the first CMC**.

Failure to file a budget:

Sanction:

CPR 3.14 If there is a delay in filing or no filing of the budgets at all, the court may treat the parties as having filed a budget containing **only the court fees**.

This means that the party will not be able to recover any of their costs above court fees even if wins at trial and awarded its costs.

Revising costs budgets:

Each party can **revise costs if significant developments in the litigation warrant a revision**. Send to other parties for agreement. If **not** agreed, submit amended budget to court.

If there is no revision, the court will not depart from the costs budget without a good reason. Successful party risks not recovering extra costs incurred. – **eg. to prepare extra witness statements.**
Retrospective approval is not allowed – the court only has the power to manage future costs.

The recoverability of costs incurred in preparing costs budgets:

The costs of preparing a Precedent H can max be the higher of £1,000 or 1% of the approved costs budget. All other recoverable costs of budgeting shall not exceed 2% of the costs budget.

Costs capping orders:

If court is concerned re disproportionate costs, court can make a costs capping order limiting the future costs which a party can recover.

STATEMENT OF COSTS:

Low value cases/interim applications:

- * Parties must file the statement of costs **24 hours** before a hearing **or 2 days** before a trial.
- * At the end of the hearing, the judge makes a **summary assessment of costs** that would be payable at the end of the hearing.

Large value cases:

OPTION 1 – Detailed assessment of costs:

- * The court will likely order a **detailed assessment of costs**. Most likely option.
- * The successful party will prepare a **bill of costs** within **3 months** of the judgment/order.
- * If the bill is more than 20% above the figures in the costs budget, the Claimant must file a statement of costs with reasons included.
- * The paying party must file **points of dispute** within **21 days**.

OPTION 2 – Provisional assessment of costs:

- * Or, instead of a detailed assessment, the judge may enter a **provisional assessment** based on the bills – this will essentially indicate an amount that the judge is willing to approve.
- * If the party receiving the assessment does not agree with the assessment, it can challenge it within **21 days**.
- * They can also ask for the matter to be listed for a detailed assessment hearing instead.

Once the parties agree/follow the assessment, a **final costs certificate** is issued.

The costs must be paid within **14 days** from the date when the costs certificate is issued by the court.

COST CALCULATIONS AND ASSESSMENTS:

Retainer = contract between solicitor and client. Client must instruct solicitor who must then agree to act. Initial interview = not retainer.

Solicitors' costs:

1. Profit costs (hourly rate x numbers of hours spent) plus VAT
2. Disbursements

Bill your time every 6 minutes.

Who pays costs?

General rule: the party who loses the litigation will pay the winner's costs and disbursements. – the court will make an inter-partes costs order to effect this.

Court considers:

- * **The parties' conduct:**
Including whether they complied with the pre-action protocols.
- * **Whether either party succeeded on whole/part of its case – ie. if the Claimant wins, the court is likely to award them costs.**
- * **Whether any offers have been made to settle.**
Part 36 offers will not be taken into account as special rules apply.

Solicitor/client costs: The client is responsible for their solicitor's costs. Court will take into account the conduct of the parties.

Party/party costs: unsuccessful party pays successful party's costs

Amount of costs:

Costs must be **reasonably incurred + proportionate in amount** – unreasonable/disproportionate cost requests will be denied.

Neither party will ever recover 100% of its costs.

Standard basis:

Any doubt whether something is proportionate will be resolved in favour of paying party. Receiving party recovers 60-70% of costs.

Indemnity basis:

Any doubt resolved in favour of receiving party.

- * Punishes paying party – **eg. for conduct.**
- * Receiving party recovers 80% of costs

Court will look at receiving party's last approved budget to decide the right amount of reasonable costs that will then be awarded.

When costs are payable:

When making a costs order, the court will indicate the basis of assessment.

Two types of assessments:

- * **Summary assessment:**
If trial is expected to last 1 day or less.
OR
- * **Detailed assessment:**
For all other trials, a detailed assessment will be prepared by a specialist costs judge.

Interim costs orders:

- ⇒ **Costs in the case** – Costs follow the order at trial
- ⇒ **No order as to costs** – Each party bears their own costs
- ⇒ **Costs in any event** – The party awarded costs gets its costs of the interim application.
- ⇒ **Costs reserved** – The issue of costs is to be decided at a later stage, typically after trial.
- ⇒ **Costs thrown away** – A party has wasted costs due to their conduct, and this party will be required to pay for these costs themselves.

Security for costs:

The Defendant may be concerned that the **Claimant may not be able to pay their costs** at the end of the proceedings and they have the option to make an application for security for costs.

This is because even if the Defendant wins the case, their costs may not be covered if the Claimant is unable to pay.

DISCLOSURE AND INSPECTION

There is no duty of automatic disclosure and/or inspection of relevant documents. Such duty will only arise by court order.

Two-stage process:

1. **Disclosure** – ie. here is the list of documents which exist or have existed.
AND
2. **Inspection** – ie. these are the documents you can actually look at and make photocopies. There is no requirement to show originals, sometimes only copies are shown.

DISCLOSURE PROCEDURE:

Standard Disclosure:

The disclosure statement:

1. **Every list of documents must include a disclosure statement. This:**
 - * Sets out the extent of the search made and state that it is reasonable + proportionate.
 - * Certifies the party understands its duty to disclose the documents
AND
 - * Certifies that, to the best of the party's knowledge, he has carried out that duty.
2. The disclosure statement must be made (signed) by the disclosing party. If a company is making the statement, the statement must be made by an appropriate officer.

Inspection:

A party wishing to inspect documents must send a **written notice** of its wish to do so to the other side and the other side must allow inspection **within 7 days of receipt of the notice**.

It is possible to ask for copies instead, with an undertaking to pay reasonable photocopying charges (but it is usually better to inspect original documents as well as to request copies).

Challenging the disclosure:

The disclosure can be challenged by either party. – eg. if it logically appears that a document is missing.

Ways to challenge the disclosure:

- Apply for specific disclosure
- Serve a Notice to Admit Facts
- Make a Request for Information to obtain the missing information
OR
- If the opposing party continues to disregard their obligations under the CPR – Apply for an unless order.

Disclosure report:

If the claim is a **multi-track claim** that is not related to personal injury, the court requires each party to draft a Disclosure Report (Form N263).

This disclosure report must be filed:

- * At least **14 days** before the first Case Management Conference
OR
- * File it with the Directions Questionnaire.

An interim application for specific disclosure:

Either party may start an interim application for specific disclosure.

This application would **require** another party to the proceedings to **disclose specific documents** and it is usually done where there is a reason to believe that the disclosure made was not adequate. – eg. **there are documents missing**.

The application for specific disclosure should include:

- **Written request for information – this request should include:**
 - * A description of the documents sought and why they are relevant
 - * Why it is reasonable and proportionate for this to go ahead
 - * The document is not in their control
- AND**
- Evidence in support.

Pre-action disclosure:

Before issuing proceedings, a person who is likely to become a party to the proceedings may make an application for disclosure so that they

have information as to the evidence the other side has and their likely chances of success.

New documents are discovered:

If new documents are discovered after disclosure and after service of the List of Documents, the disclosing party must serve a **Supplemental List** including the new documents.

STAGE 1 – STANDARD DISCLOSURE:

Parties to litigation have a duty to disclose all documents (in physical or electronic form) relevant to the litigation.

Electronic documents:

- * E-mail and other electronic messaging – eg. text/Whatsapp
- * Databases
- * Documents stored on servers, deleted docs and clouds.
- * Metadata (= data about data) such as the date/time of creation
- * Content of social media websites – eg. Facebook and Twitter

This duty extends to your client if the documents were in their control:

Control is defined widely:

- a) The document is/was in the physical possession of the party
- b) The party has (or has had) a right to possession of the document
OR
- c) The party has/had a right to inspect or take copies of the document.

Standard disclosure requires a party to disclose only:

- a) The documents on which they rely – **Board minutes to prove a strong case, offer to settle letter relied upon to obtain favourable costs orders.**
- b) The documents which:
 - (i) Adversely affect their own case
 - (ii) Adversely affect another party's case
OR
 - (iii) Support another party's case**AND**
- c) The documents which they must disclose under a relevant practice direction.

Reasonable search:

A party need only carry out a reasonable search for documents that fall into categories (b) or (c) of the standard disclosure definition. This is an obligation which falls within the duty of standard disclosure.

Reasonable search factors: CPR 31.7

1. The approximate number of documents
2. The nature and complexity of the proceedings
3. How difficult/expensive it will be to retrieve some docs, and
4. The significance of the docs likely to be found.

The court will also take into account the proportionality principle and the overriding objective. – **Thus, the search could be limited to a specific transaction or docs created on or after a given date.**

A party need not search for a document if it would be disproportionate to do so. If so, the party must state this in its disclosure statement and why the search would be unreasonable.

STAGE 2 – INSPECTION:

Can the document be withheld from inspection?

Yes if:

- The document is privileged
- The document is no longer in their control
- Allowing inspection would be disproportionate

Types of privilege: *Learn all definitions by heart*

- **Legal advice**
- **Litigation**
- **'Without prejudice'**

Legal professional privilege includes both legal advice and litigation privilege.

Legal advice privilege (legal professional privilege):

Definition:

A document which is a confidential communication between a lawyer and a client and was prepared for the purpose of giving/receiving legal advice.

A solicitor's attendance note of a conversation between lawyer and client is subject to legal advice privilege.

Parry v Newsgroup Newspapers A solicitor's attendance note of a conversation between parties is not privileged (open communications).

Balabel v Air India Legal advice need not be strictly legal, it can be presentation of legal advice and wider communications.

Three Rivers DC Legal advice is defined broadly: 'presentational advice' is covered by legal advice privilege. However, lawyers must be giving such advice through legal spectacles.

The Good Luck Case Client's internal repetition of the advice is privileged. Contrast this with client's own opinion is not privileged. – eg. if client received legal advice and repeats this information to the team, this is privileged. Once he starts adding comments to the advice, his comments are not privileged.

Prudential Plc Advice given by non-lawyers is not privileged even if the advice is of a legal or quasi-legal nature.

Civil Aviation Authority v Jet2.com Anyone claiming legal advice privilege over a doc must prove that the doc was created for the dominant purpose of giving/receiving legal advice. – eg. in relation to emails, the court will look at the dominant purpose of each email sent.

Litigation privilege (legal professional privilege):

Definition:

Confidential communications between a client and solicitor or between either one of them and a third party, with the dominant purpose to obtain legal advice/evidence/information for use in the conduct of litigation reasonably in prospect at the time when the document was created.

Confidential:

Information must have been confidential for litigation privilege to apply.

Communication between lawyer and third party:

For example:

- * Solicitor and witness: litigation privilege – **witness statements** and/or
- * Solicitor and expert: litigation privilege – **eg. expert reports**

A solicitor's attendance note of a conversation between lawyer and client – subject to litigation privilege.

Parry v Newsgroup Newspapers A solicitor's attendance note of a conversation between parties is not privileged (open communications).

Waugh v BRB If a document has two purposes, litigation must be the dominant purpose (more than 50%).

Re Highgrade Traders Whose purpose? When establishing the dominant purpose of the document, ask the commissioner, not the author of the document (if these are two separate people). – Eg. for insurance report, it is the person who asked the insurer to write the report.

USA v Philip Morris Litigation must be a real likelihood not a mere possibility. Not sufficient = apprehension of future litigation.

Without prejudice communications:

Includes documents with the purpose being a **genuine attempt to settle** a dispute (whether the claim is in process or only contemplated is irrelevant).

Simply marking the letter as "without prejudice" will not make it without prejudice if the contents of the letter are not related to settlement.

Best practice: mark these documents as "without prejudice", however, the court does look at the content of the letters, if the contents are a genuine attempt to settle, the documents will be treated as without prejudice.

Rush and Tompkins The court will look to substance rather than form.

If marked as being "Without prejudice save as to costs" – judge can look to the document to decide the costs.

Waiver and redaction:

Waiver:

A party may deliberately disclose and allow inspection of a privileged doc if that doc will likely help its case. In this case, **privilege is waived**.

But, you cannot 'cherry pick' certain parts of a privileged document to reveal to the other side/the court. Waiving privileged in part of a document will lead to privilege being waived over the whole document.

If a document is **mentioned in a statement of case, affidavit or a witness statement** – this would **waive privilege**.

Redaction:

If a document is not privileged (disclosable), but includes privileged material, the privileged information can be redacted. – eg. in a note of conversation with other's solicitor + client, redact client's conversation.

PROFESSIONAL CONDUCT RULES:

Solicitor's duty to 'endeavour to ensure' that the disclosing party understands duty of disclosure. – eg. **do this by sending out a client care letter**.

If client knowingly signs a false disclosure statement = contempt of court – **this may mean fine/imprisonment for client**

Not deceive or knowingly or recklessly mislead the court.

Not be complicit in another person deceiving/misleading court. Cease to act for client if becomes aware client (attempted to) misled the court in any material matter, unless client agrees to disclose truth to the court.

If the client doesn't want to disclose you would cease to act.

What if a privileged document is inspected by mistake?

Clearly a mistake and privileged. Immediately cease reading the documents, inform the other side and return the documents.

Where the mistake is not obvious, the document can only be used by the party who inspected it with the court's permission.

Must disclose all material information but do not tell the client or the court the information in this case. Tell them you received it but not the content.

If you wish to rely on a privileged document which has been disclosed by mistake, you must seek and obtain the **permission of the court** first.

WHICH PART?

The list of documents for disclosure should be made using Form N265 and divided into three sections.

Which part of the list of documents should the relevant document go?

For the question of privilege:

Part 1 – Available for inspection: For documents that are not privileged

Part 2 – Not available for inspection: For privileged documents

Part 3 – Documents no longer in the party's control

Redaction:

Part 1 – Redacted version of document

Part 2 – Unredacted version of document

Part 3 – Documents no longer in the party's control

DISCLOSURE AND PRIVILEGE EXAMPLES:

Letter of instruction of an expert report:

Instructions are not privileged from inspection.

No privileged material should be attached or referred to in the instructions as this would waive privilege over these docs.

Expert report:

Privileged until served on the other side.

Draft expert report (not final) is subject to litigation privilege. Privilege will be waived in the final version of the report when it is served.

1. Attendance Note – version 1:

Disclosure: Must be disclosed as it is adverse to the party's case.

Inspection: This attendance note was of a meeting at which both parties were present so not privileged.

Which part? Part 1 of the List of Documents.

2. Attendance Note – version 2 with two notes:

Two notes within the doc. The first note was a lawyer's attendance note of a telephone conversation with client. The second was an

attendance note of telephone conversation with the other side's solicitor.

Disclosure:

1. **First note:** Adverse, as it shows that D's case was weak.
2. **Second note:** A reliance document because it shows good conduct on the part of the D.

Privilege:

1. **First note:** This was subject to litigation privilege.
2. **Second note:** No privilege applies as it was not a confidential communication under the rule in Parry v Newsgroup.

Attendance note overall: The page is part privileged and part unprivileged, the doc must be redacted. Refuse inspection and redact the first note and allow inspection of the second note.

Which part? Redacted version of doc goes in Part 1, unredacted version goes in Part 3.

3. Contract:

Disclosure: Contract between the parties. C would rely on this to show breach of contract, must be disclosed.

Inspection: Open for both parties to inspect, not privileged.

Which part? Part 1 of the List of Documents.

4. Letter of claim:

Disclosure: Must be disclosed as a reliance document. It shows good pre-action conduct on behalf of the C.

Inspection: Open letter between the parties, only pre-action. Not priv.

Which part? Part 1 of the List of Documents.

5. Email:

Disclosure: Must be disclosed as a reliance document, it is evidence of communications relevant to the case.

Inspection: Litigation privilege applies. This document is communication between the client and the service engineer with the dominant purpose of obtaining the notes of the engineer's site visit in July 2018. This will provide evidence for litigation. The email was sent after the litigation had commenced and refers to the litigation.

Which part? Part 3 of the List of Documents.

6. Draft Witness Statement:

Disclosure: Must be disclosed as a reliance doc for C, if well-drafted or adverse doc if badly-drafted. Disclose either way.

Inspection: Litigation privilege applies as not signed and not filed and therefore, confidential. Privilege is waived if signed and served.

Which part? Part 3 of the List of Documents.

7. Internal Memorandum:

Disclosure: Repeats legal advice given by solicitor. Must be disclosed as a reliance doc for C.

Inspection: The Good Luck case, repetition of legal advice is privileged. This paragraph may be redacted.

Which part? Part 3 of the List of Documents or if redacted, part 1 and 3.

SEARCH ORDERS

CPR 25.1(1)(h) Search order/Anton Piller order = an order requiring a party to admit another party to premises to **preserve evidence**. It is a discretionary, interim remedy.

APPLICATION PROCEDURE:

May make an application either **prior to or after** issuing a claim.

Pre-Action Documents:

- * Draft/Issued Claim Form
- * N244 Application
- * Affidavit in support – Applicant has duty of good faith for **full and frank disclosure** – PD 25A(7.3)
- * Draft Order – You will find a Standard Search Order in the **PD25A Standard Search Order (SSO)**
- * Skeleton Argument

Without notice hearing:

- * Hearing participants: **judge and Applicant only**. Respondent does not take part in the hearing.
- * Apply search order conditions as above (Anton Piller guidelines)
- * Used where the purpose of the Order would be defeated by giving notice – there is a need for secrecy. – eg. **evidence of deception and destruction of evidence**.

If Order is granted, it will be served on Respondent in a pack:

- * Search Order
- * Claim Form (if not yet issued)
- * Note of 'without notice' hearing
- * Return date details for on notice hearing
- * Skeleton Argument

On Notice Hearing:

- * Hearing participants: **judge, Applicant and Respondent**
- * 3 outcomes: order can be **maintained, varied or discharged**.

APPLYING FOR A SEARCH ORDER:

Identify makes the application against which party. A search order application will be made by the Applicant against the Respondent.

An application for search order needs to satisfy the below conditions: **Anton Piller v Manufacturing Processes**

1. **Strong prima facie case of a civil cause of action.** – yes if there is a likely breach of contract, infringement of intellectual property, breach of statutory duties as director. State breached terms (implied/express?) Which clause? If intellectual property breach, state the type. Is the claim certain or merely likely?

If breach of confidentiality:

Faccenda Chicken v Fowler Employee is and remains under a duty to keep information obtained during employment confidential and not to use it against employer.

2. **The damage, potential or actual, must be serious.** – yes if there were there losses in the past and they would continue into the future. State the likely amount lost.
3. **Clear evidence of Respondent's possession of incriminating documents.** List potential evidence. If merely circumstantial evidence and no concrete evidence, you will need more evidence. – eg. by Respondent having access to details of Applicant's design system or "staff have done a lot of photocopying this week".
4. **Real possibility that docs will be destroyed or removed before any on notice application for disclosure.**
25A PD7.3(2) Must be probable (= more than mere possibility) Previous examples of dishonesty by Respondent suggests a risk of destroying documents. – eg **lying or deleting files**.
5. **The harm likely caused to Respondent's business by the search must not be excessive or disproportionate to the legitimate object of the order.**
Which one is greater? Harm to Respondent or the potential financial loss to the Applicant?

Pointing to not excessive if:

- * The losses likely to be significant in the case
- * Search is for relatively specific docs and thus it would not be too disruptive.

Pointing to excessive if:

- * Applicant can find potentially confidential information during the search.

There is an underlying principle of necessity: the order must be necessary for the proper administration of justice.

A search order is a discretionary and equitable remedy.

All the equitable maxims will apply:

1. Applicant must come with clean hands – look at the Applicant's wrongdoing: eg. no lying, pretending to be someone else. What is the evidence based on? Is it the statement of a disgruntled employee?
2. Has the applicant delayed in bringing his application?
3. Equity will not act in vain. – eg. **Confidentiality has already been disclosed so why take further action?**

Para 16-18 What information must Respondent give to the Applicant's solicitor and when?

- * Where the listed items are; who provided him with them and where he has sent them
- * Must be provided immediately

What is the respondent prevented from doing before return date?

- * **Para 20** Warning anyone about the order
- * **Para 21** Destroy, tamper with, cancel or part with possession, power, custody or control of the listed items

Conclude:

Weighing the factors above, argue whether this is an arguable or good case for a search order.

Due to the nature of the order being a **discretionary remedy**, avoid saying that the application is either certain or hopeless.

If search order is unlikely:

CPR 25.1(1)(c)(i) An alternative is to apply for the "detention, custody or preservation" of evidence.

L v L & H Such an application has a much lower threshold of evidence, given that it is a less intrusive order although much less extensive.

VARIATION/DISCHARGE OF THE ORDER:

Identify makes the application against which party. A discharge/variation application will be made by the Respondent to the search order against the Applicant.

Respondent may apply:

1. To have the search order **discharged/ varied** AND/OR
2. For **damages** (either as a result of the discharge or for the way in which the search order was executed).

Supervising solicitor's report will be available for inspection by Court at 'on notice' hearing.

If successfully discharged – 'on notice' hearing date is adjourned.

Respondent may apply for costs or damages if application is frivolous – **Schedule C** Applicant must give undertaking to cover damages prior to the granting of an order.

When to apply:

At or before on notice' hearing return date.

Grounds for variation:

1. Applicant had **no grounds** for obtaining a Search Order
2. Order is drawn too widely
3. Insufficient safeguards for execution

Grounds for discharge:

Select the most likely ground for discharge in your scenario.

1. **The Search Order should not have been granted:**
There is no legal or factual basis for the order when applying the **Anton Piller guidelines**. – apply the guidelines to find out.
2. **Applicant is guilty of material non-disclosure:**
 - * Applicant failed to make full + frank disclosure
 - * Breaches of **CPR25 and 25A PD** – eg. "inexcusable non-disclosure".
3. **Disclosure of material searched for would breach privilege**
4. **Procedural Irregularity – The Gadget Shop**
Search will be discharged if the search was procedurally irregular and was executed in an oppressive way.

Example failings:

- * **Breach of Search Order** – If the search was not executed in accordance with the Search Order. – Check how search was actually executed and what search order said. Contract and compare. Check members listed for search and members who actually carried out the

search.

You might be given the Search Order in the exam, in that case, read the Search Order, if not, then rely on the Standard Search Order under CPR 25 in your statute book. – **PD25A Standard Search Order (SSO)**

- * **The order was not in the Standard Form and changes from standard form were not drawn to judge's attention** at without notice hearing.

- * **Breach started not at a time described in the search order: 25A PD 7.4(6) and para 25 SSO**

Search may have started **too early/too late**. The Standard Search Order does not specify the time/date of the search, this will be filled in by the judge granting the order.

However, in general, only **executed during working hours**

- * **All-male team was used.** If the premises are occupied by an **unaccompanied woman**, the search team cannot be all-male – **25A PD 7.4(5) and footnote 8 SSO**
- * **No one from the search team should be someone who could make a gain** personally/commercially from anything which they might read or see on premises, unless their presence is essential – **Footnote 9 to para 6 SSO** – eg. by knowing what documents to look for.
- * **Causing damage on the premises** – eg. to the Respondent's computer system. Should not have searched as they did not have the skills to safely do so.
- * **Taking away the Respondent's items** except for disputed documents which will be retained by the Supervising Solicitor. – eg. taking Respondent's laptop or documents that were irrelevant to the search.
- * **Privileged documents are excluded from the search** and these must be retained by someone other than by the Supervising Solicitor. – eg. by the Applicant's solicitor or the Applicant themselves.
- * **Supervising solicitor failed to follow the rules applicable to them during the search:**
- * Search team **must have permission** to search. – **Para 6-7 SSO**
- * Too many people in the search team may be oppressive.
- * Search team must know what they are searching for. – **the documents will be listed in the order.**
- * Search Order must be served personally by the Supervising Solicitor. – **Para 26 and 25A PD 7.4(1)**
- * Respondent may ask Supervising Solicitor to delay search to seek legal advice. May delay for up to 2 hours or a longer period as permitted by the Supervising Solicitor. – **Para 10-11**
- * Check premises to be searched for breach – **Schedule A**
- * Check Listed Items (items searched for) for breach – **Schedule B**

Conclude: Collective irregularities likely to lead to discharge

5. **Search Order was executed in breach of undertakings:**

Solicitor's breach of undertaking. Automatic undertakings by Supervising solicitor under a Search Order:

- * **The Supervising Solicitor should have explained to the Respondent:**
 - What was in the order in plain English
 - That they had the right to take legal advice – **Schedule E**
 - That the search could be delayed for 2 hours to take legal advice – **25A PD 7.4(4) Para 9-10 SSO**
- * **Provide supervisor's report within 48 hours.**

6. **Applicant infringed Respondent's human rights by the improper execution.**

Specific breach of **Article 8 ECHR** the right to private + family life.

Damages:

Seek damages as compensation for losses caused by Search Order

Losses can include:

- * Lost business from disruption caused by the search – eg. **because the employees lost work or the meetings were disrupted**
- * Cost of repairing an IT system damage caused by the search
- * Harm to reputation
- * Compensation for potential breach of the Respondent's human rights under Art 8.

Respondent might apply for (and the court might, in exceptional circumstances, grant) aggravated damages and/or exemplary damages.

Aggravated Damages = additional damages which court may award due to objectionable behaviour providing compensation for injury to feelings. Cannot be claimed by companies.

Exemplary Damages = Damages which go beyond compensating for actual loss and are awarded to show the court's disapproval of Applicant's behaviour.

Only available in certain categories of case, e.g. **oppressive, arbitrary or unconstitutional behaviour by government servants and solicitors acting when undertaking a search order.**

Conclude:

There is a good chance of Applicant's application for discharge of the search order and his application for damages being successful.

If the search order already carried out:

- * It would be incorrect to discharge the order and this would be an empty gesture as already carried out.
- * Adjourn the discharge application until trial. – **Dormeuil Freres**

WITNESS AND EXPERT EVIDENCE

These rules relate to evidence at civil trials only. The rules in relation to criminal trial will be different and you will find them in the Criminal litigation notes.

ADMISSIBLE/INADMISSIBLE EVIDENCE:

Evidence, which is inadmissible cannot be taken into account by the court at trial.

General rule: all relevant evidence is admissible.

Court may exclude evidence even if that evidence is admissible.

Two types of witness evidence:

1. Evidence of witnesses of fact
AND
2. Evidence of expert witnesses

Inadmissible Evidence:

- * Irrelevant
- * **Opinion evidence:** what a witness thinks, believes, or infers in relation to facts. Exceptions: Perceived facts and expert opinion
- * **Privileged evidence:** admissible only if privilege is waived.

Admissible Evidence:

- * **Perceived facts**
This is where the witness' opinion is a shorthand for facts. – eg. "The car was driving fast". "Bob was drunk".
- * **Expert evidence**
The opinion of an expert will be admissible.
- * **Hearsay** – admissible in civil proceedings subject to procedural issues.

HEARSAY EVIDENCE:

Hearsay evidence = An oral or written statement that has been **made out of court** that which is later adduced in court to prove the truth of a matter.

Example:

Mr Brown sees the Defendant breaking into the victim's house and removing items through the back door. He rushes back home to call the police and he tells his daughter, Alice, what he saw. Mr Brown has had a stroke and is now recovering in the local hospital, so he is unavailable to give evidence.

As Mr Brown is not able to give evidence, his daughter, Alice may give witness evidence of what her father said to her, and this may be admissible in court as hearsay.

When to use hearsay evidence?

- * When the original witness **cannot be located**.
- * When the original witness has **died**.
- * May use the **witness statement of someone else** who heard what the original witness said as hearsay evidence.
- * May use the **witness statement of the original witness** as hearsay if the original witness can no longer attend trial. – Oral evidence at trial is direct evidence, as it allows for the witness to be cross-examined and strengthens the evidence if the witness can answer any questions without casting doubt on their version of the events. Without oral evidence, a witness statement is only hearsay evidence.

Procedure for hearsay evidence:

1. **All hearsay evidence is inadmissible, however, there are certain procedures that can be used to admit hearsay evidence.**

To admit hearsay evidence, the following conditions must be satisfied: Criminal Justice Act 2003

- * The **original statement would be admissible** evidence if the person who made the statement was able to attend trial and give oral evidence. – **s.116(1)(a)**
- * The person who made the original statement can be **identified** to the satisfaction of the court. – **s.116(1)(b)**
AND
- * The party relying on the evidence has taken **reasonable steps** to find the person who made the original statement, however, despite these efforts, they cannot be found. – **s.116(2)(d)**

If hearsay evidence is admitted to trial, it will be indirect evidence only, so whilst it is taken into account, it is **less reliable** than direct evidence.

2. If intends to rely on hearsay evidence, serve notice of intention on the other side.

- Serving a witness statement is deemed notice of intention and no separate notice is required.
- If witness is not coming to trial, must explain why and inform the other party.
- If there is no witness statement served and a party wishes to rely on hearsay evidence at trial, then the other party must be given notice.

3. When other side receives notice, they have 4 options:

1. Request particulars
2. Call for cross-examination within 14 days of notice being served.
3. Challenge the weight of the hearsay evidence at the trial
4. If witness is not called to trial, attack their credibility by pointing out past contradictory statements but notify other side within 14 days.

4. Court decides on weight:

Factors: court considers:

- a. Reasonable and practicable for witness to attend trial
- b. If original statement was made at the same time as the matters stated
- c. Multiple hearsay involved
- d. Motive to misrepresent matters
- e. Whether circumstances suggest an attempt to prevent proper evaluation of its weight

WITNESS STATEMENTS:

Oral evidence is **direct evidence**, the **witness statement itself will be hearsay** if the witness does not attend trial.

Service of witness statements:

A witness statement, once served on the other side, will be prior **notice** of what the witness will say at trial.

If you intend to rely on a Witness Statement at trial, you must serve it on the opposing If not served, the witness cannot give oral evidence at trial.

Contents of a witness statement:

The witness statement will contain evidence that help prove the facts in issue – eg. **duty, breach, causation**.

The witness statement cannot include:

- * Inadmissible evidence
- * Irrelevant information

What should you do if you are not able to exchange on time?

1. Depends, if the application is in time or out of time.
2. Parties can agree in writing extensions of up to **28 days** for the filing + serving of witness statements, without court approval, if any such extension does not put a hearing at risk.
3. If a witness statement is not served on time, the witness may not be called to give oral evidence unless the court gives permission.

If the witness does not want to give evidence:

If witness refuses to give a witness statement and/or cannot attend trial to give evidence, **serve a witness summons** at least 7 days before trial.

Ensure that the witness summons is properly served on the witness, as it will not be binding without **proper service** (look at the rules on counting time).

Once properly served, the witness **must attend the court trial** and give evidence, otherwise, the witness will be in contempt of court.

However, once received, the witness has the right to make an application to the court to **set aside the witness summons** if the witness is unable to provide information in their evidence which would be relevant to any of the matters in issue.

EXPERT EVIDENCE:

Court has a duty to restrict expert evidence. Need permission of the court to use expert evidence but not for expert advisors. It is ultimately up to the court whether expert evidence is allowed.

The expert's primary duty is owed to the court, not the paying party.

Adducing expert evidence:

Parties need permission to call experts.

At the direction stage, provide the court with:

- * The experts' names
- * Their field of expertise
- * A cost estimate for calling the experts
- * The issues the experts will address

Parties should try to agree a Single Joint Expert (SJE) to save costs.

Expert reports must be exchanged. Failure to exchange report would mean the reports cannot be relied on at trial unless court permits.

Letter of instruction and expert report – privilege status:

Letter of instruction of an expert report – Instructions are not privileged from inspection.

No privileged material should be attached or referred to in the instructions as this would waive privilege over these docs.

Expert report – Privileged until served on the other side.

Draft expert report (not final) is subject to litigation privilege. Privilege will be waived in the final version of the report when it is served.

What steps should experts take after exchange of reports?

Questions to experts: Written questions can be put to an expert once only within **28 days** of service of the expert's report.

Discussions between experts: The court can direct that discussions take place between experts to identify, narrow and if possible, agree issues. – any meeting between experts will be without prejudice.

Joint statement: A joint statement must be prepared by the experts.

Experts have the right to ask the court for directions.

PROFESSIONAL CONDUCT: *POPULAR EXAM Q*

Witness puts forward false evidence:

If statement is false and it is verified by statement of truth without honest belief in its truth = contempt of court proceedings
Not deceive or knowingly or recklessly mislead the court.
Not be complicit in another person deceiving/misleading court.

Cease to act if becomes aware client (attempted to) misled the court in any material matter, unless client agrees to disclose truth to court.

Cannot call witness whose evidence you know is not true.

If finds inconsistency in witness's story:

If during proceedings, solicitor aware he's inadvertently misled court, he must **immediately inform court with client's consent.**
If client doesn't consent, cease to act

Witness changes statement:

Do not place yourself in contempt of court.

Cannot influence witness's statement

Cannot tamper with evidence or persuade witness to change evidence

TRIAL

PREPARATIONS FOR TRIAL:

1. Pre-trial checklist (Listing Questionnaire):

- * Sent out by the court
Must be sent to each party at least 14 days before
- * **Must be completed and filed by both parties.**
Filing date is set by the court and it will be at least 8 weeks before the trial date.
Consequences of non-compliance:
 - **If both parties fail to file checklist on time:** court will likely grant an unless order:
 - Parties must file within 7 days of order
 - OR
 - Strike out
 - **If one party fails to file on time:** court gives further directions, but unlikely to strike out
- * Check whether cost management directions have been complied with.

2. Attend pre-trial hearing:

The court will review the case, gives directions on trial date and other matters.

3. Trial bundle must be filed 3-7 days before trial.

- * The Claimant's solicitor must prepare 6 trial bundles as a minimum for all civil litigation trials.
- * The Claimant's solicitor must approach the Defendant's solicitor and seek their agreement as to what is to be included in the bundle.
- * **The trial bundle will include:**
 - All statements of case
 - The case summary
 - Information about the parties
 - A schedule of issue
 - Witness statements and expert reports.

4. Skeleton arguments + list of authorities

- * For High Court trials, this will be prepared by both parties
- * Summarises parties' legal arguments and includes a list of authorities

5. Settlement:

Assess strengths and weaknesses of case, reconsider whether to settle/make a Part 36 offer.

6. Parties consider Notices to admit facts/documents

7. Prepare the case summary:

Case summary must:

- * Not be more than 500 words
- * Clearly specify the issues and facts that have been agreed and those that are in dispute.
- * Provide a synopsis of evidence that will be needed at trial.

8. Summon reluctant witnesses:

Witness summons = requires witness to attend to give evidence/produce docs for court.

9. Brief to Counsel:

Doc given to counsel with their instructions.

10. Secure attendance of experts/witnesses.

11. Update costs if needed.

TRIAL:

General rule: all hearings are held in public.
If the is confidential information in the matter, the hearing will be held in private.

The trial is held to **decide on an outcome for the dispute**. The litigants in the case might have a different view of the events and the dispute might be due to a misunderstanding or one or both of them might be lying to the court.

The judge will look at the evidence presented and decide which side's evidence is more convincing.

Stages of a trial:

1. **Opening statements** by both advocates (first the Claimant then the Defendant)
2. **Calls Claimant's evidence:**
 - * Evidence in chief
 - * Cross-examination
 - * Re-examination – eg. to restore credibility of a witness.
3. **Calls Defendant's evidence:**
 - * Evidence in chief
 - * Cross-examination
 - * Re-examination
4. **Closing submissions** by advocates (first the Claimant then the Defendant)
5. **Judgment** – the judge may give judgment immediately or at a later date. The judge may allow the Claimant's claim or dismiss it.
6. **Arguments on costs**
7. **Costs judgment/order**

Leading questions are permitted during cross-examination; however, they are not permitted during re-examination.

Leading question = a question prompting the responding party to give a desired answer.

THE JUDGE:

The judge and decision-making:

The judge will be familiar with the codes of conduct as they were solicitors and barristers before becoming judges.

The civil courts have no jury, and therefore, the judge will decide both questions of fact and questions of law.

The judge will look at the **evidence** presented and decide which side's evidence is **more convincing**.

The judge will be **guided by the code of conduct** for solicitors and/or barristers **when making a decision**.

The judge will be legally trained and should not ask help from a legal advisor when making decisions, as they will have their own experience within the legal profession.

Addressing the judge:

You must know how to properly address people in and outside of court.

Type of judge	Written title	Abbreviation	Address in court	Address in correspondence
District	District Judge [name]	[name] DJ	Judge	Judge
Circuit	His/Her Honour Judge [name]	[name] HHJ	Your Honour	Judge
Master	Master [name]	Master [name]	Judge	Judge
High Court	The Honourable Mr/Ms Justice [name]	[name] J	My Lord/Lady	Judge
Court of Appeal	The Right Honourable Mr/Ms Justice [name]	[name] LJ	My Lord/Lady	Lord Justice

COURTROOM ETIQUETTE:

- * **Solicitors to wear a formal attire:** a dark suit, formal shoes, light coloured shirt and modest jewellery.
- * **Solicitor advocates** must also wear a gown, collar and bands but will not wear a wig.
- * Electronic devices must be **turned off**. – a solicitor using a mobile phone during a hearing may attract **contempt of court** proceedings.
- * Do not eat/drink in court
- * Bow to the judge when entering/leaving the courtroom
- * Wait until your turn to speak
- * Refer to the judge by the correct mode of address
- * Refer to your opponent as 'my friend'.

COURT ORDERS:

Court order = an official court decision in relation to either a procedural or a directional issue. This includes a decision either that one/more of the parties do or refrain from doing a specified action.

In most cases the terms judgment and order are used interchangeably.

Types of orders:

A court order may be **interim or final**.

Order may be made by:

- * The operation of the CPR – Deemed orders
- * By the court
- * By the consent of the parties – these are called consent orders where the parties agree on an outcome and the court makes an order to give effect to this.

Deemed orders:

These orders arise by operation of the CPR, rather than a decision of the court.

This could be an order setting out that costs are to be paid on a standard basis and this would arise in the following situations:

- * The claim is struck out because the court fees have not been paid. – **CPR 3.7A**
- * The claim is struck out because the court fees have been paid by cheque, however, the cheque is dishonoured. – **CPR 3.7B**
- * A Part 36 offer is accepted by one of the parties. – **CPR 36.13**
- * The claimant discontinued the claim. – **CPR 38.6**

For a deemed order to apply, the parties do not need to draft an order for this to be enforceable.

Court orders:

The parties **may prepare draft orders** and send them to the court for approval or consideration, however, in most cases, the court has the final say as to what goes into the order.

When making an interim application, it is best practice to attach the draft order to your application so that the court can consider it and the order sought becomes clear.

CPR 40.3 The court will be responsible for drawing up every judgment/order except where:

- * The court makes an order for one of the parties to draw it up.
- * One of the parties agree to draw it up for the court, with the court's permission.
- * The court dispenses with the need for an order to be officially drawn up.
- * The order is a consent order.

CPR 40.7 A judgment/order is **effective** from the day when it was made or a later date, as specified in the order.

Consent orders:

Consent Orders = stay the proceedings on agreed terms.

CPR 40.6(2) An officer of the court may seal a consent order if:

- * The judgment/order is an order listed in CPR 40.6(3).
- * All of the parties are legally represented.
OR
- * The CPR/legislation so requires.

Tomlin orders – used for confidentiality. This type of order will have a public part and a private schedule so specific matters can be kept confidential)

Deadline for compliance:

CPR 40.11 The deadline for compliance with a judgment/order where it includes the payment of money (including costs), this **must be made within 14 days of the date of the judgment/order if it is not specified** on the judgment/order.

If the payment is not made within this time, steps may be taken to enforce the judgment.

Exceptions:

- * If the judgment/order includes a different date, then that date must be followed.
- * If the CPR specifies a different deadline.
- * If the court has stayed the proceedings/judgment.

Payment by instalment or foreign currency:

CPR 40B.12 If the judgment/order is to be **paid by instalments**, then the judgment/order should include the following:

- * **The full amount** payable and **the amount of each instalment**.
- * The number of instalments
- * When to pay each instalment
- * Who should receive the payments

CPR 40B.10 If the judgment/order is to be **in a foreign currency**, the judgment/order should include the following wording:

"It is ordered that the defendant pay the claimant (state the sum in the foreign currency) or the Sterling equivalent at the time of payment."

PART 36 OFFERS AND SETTLEMENT

SETTLEMENT (NON-PART 36):

Enforcement:

By court orders:

- Dismiss the claim – stops the Claimant from suing on same issue again
- Discontinue claim – the Claimant may sue on same issue again
- Make a consent order – eg. **Tomlin order**

By a settlement agreement:

- If settlement agreed after Claim Form issued, must notify court
- To enforce:**
 - Sue for breach of contract, apply for summary judgment
 - If a consent order exists:**
 - * Enforce terms of order in addition to breach of settlement agreement.
 - * Set out timescales for compliance, but without contrary agreement, it will be **14 days**. – **CPR 40.11**
 - * The claim could be stayed, discontinued or dismissed.
- For confidentiality – use **Tomlin orders** (this type of order will have a public part and a private schedule so specific matters can be kept confidential)

Part 36 vs Settlement agreements:

SETTLEMENT AGREEMENTS	PART 36 OFFERS
- No court involvement - May set own terms for costs, although the usual cost rules still apply - Time limits are set by the settlement agreement terms - May pay in instalments - No damages award	- Court may be involved. – eg. for withdrawal which needs court permission. - Court decides costs consequences - Time limit is set = 21 days - Must be lump sum - If a reasonable offer is refused, bonus damages award.

PROCEDURE FOR PART 36 OFFERS:

Part 36 offers = a formal offer to settle the case. – an offer which does not comply with the formalities of a Part 36 offer will be a simple offer to settle.

Purpose of Part 36 offers:

Financial incentives for opponent to settle.

When to make a Part 36 offers:

At any time, including before and during the proceedings. A Part 36 may also be made at the appeal stage. – **CPR 36.1 and CPR 36.4**

However, if a Part 36 offer is to be accepted during trial, the permission of the court is required to accept the offer. – **CPR 36.11(3)(d)**

A Part 36 offer must: **CPR 36.5**

- Be in writing – eg. in a letter, email or Form N242A.
- Clearly state that it is an offer made under Part 36
- Must refer to the **Relevant period**, a period during which the offer is open. The offer must be open for a minimum of **21 days**. AND
- Must state if it relates to all/part of the claim and whether it includes any counterclaim.

If the above criteria is **not** satisfied, the offer will not amount to a Part 36 offer.

Part 36 offers are treated as 'without prejudice'.

Acceptance:

A Part 36 offer is accepted by serving a **written notice on the offeror**. D must pay within 14 days of deemed service of notice.

It can be accepted at any point within the relevant period, unless it has been withdrawn. It makes no difference that the offeror has made a new offer, a new offer will not withdraw the previous offer.

VARIATIONS TO A PART 36 OFFER:

If accepted the offer, cannot withdraw

If rejects the offer, offer remains open.

If offer not yet accepted:

1. **Before** expiry of relevant period:

- Withdrawals need court's permission.**
- Offeror may amend offer** only if there is a change in circumstances or the interests of justice requires amendment:
 - If makes offer less advantageous to offeree, the offeror must serve a notice
 - If makes offer more advantageous to offeree, it will be treated as a new Part 36 offer with a new relevant period.

Variation takes effect at end of relevant period. If offeree doesn't accept original offer, offeror must apply for court's permission to vary or withdraw within 7 days of notice of acceptance.

2. **After** expiry of relevant period:

Offeror can withdraw or amend at any time

CONSEQUENCES OF REJECTING A PART 36 OFFER:

Structure:

General rule on costs:

Unsuccessful party pays successful party's costs
If a Part 36 offer is rejected, court may penalise rejecting party.

Who is the offeror and the offeree?

Identify the correct heading to use based on who makes the offer (offeror) in your scenario.

Compare offer to trial award:

Identify if the trial award is same, more or less than the offer.
What is the offer amount and trial amount?

Eg. Offer = £3,000, Trial award = £5,000, thus final award at trial is more than the offer.

Claimant's offer:

Later the Claimant wins same or more at trial = **at least as advantageous award**

Later the Claimant wins less at trial = **less advantageous award**

Defendant's offer:

Later the Claimant wins same or less at trial = **same or less advantageous award**

Later the Claimant wins more = **more advantageous award**

Claimant's offer, Defendant rejects:

Claimant wins same or more at trial (at least as advantageous):

Eg: Claimant's offer = £3,000, Defendant rejects

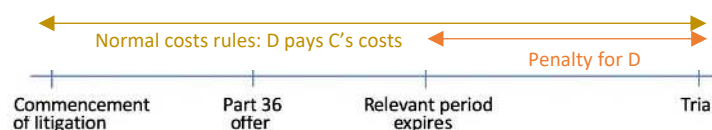
Later the Claimant wins £3,000 at trial OR they win more than £3,000 at trial

If the Claimant awarded same or more at trial than the offer, the Defendant will be punished as he was unreasonable to reject (now wasted time/costs).

Penalty for the Defendant for period between end of relevant period and trial.

D will pay:

- Damages + own costs
- Normal costs rules: the Defendant pays all of the Claimant's costs until trial.
- Penalty.** Court's discretion (can decide not to penalize if unjust)
Maximum penalty:
 - Indemnity on costs
 - Interest on sums awarded (max 10% interest rate)
 - Max 10% of damages awarded up to £75,000





Part 36 offer

Claimant wins less at trial (less advantageous):

Eg: Claimant's offer = £3,000, Defendant rejects
Later the Claimant wins £1,000 at trial

D was reasonable to reject the offer so no penalty.

D will pay:

1. Damages + own costs
2. Normal costs rules: the Defendant pays all of the Claimant's costs until trial.

Claimant loses:

The party losing the trial pays to the winner (normal rule).
The Defendant (winner) will get paid its costs by the Claimant (loser).

The Claimant will pay:

1. Own costs
2. Normal costs rules: the Claimant pays all of the Defendant's costs until trial.

Defendant's offer, Claimant rejects:

Claimant wins same or less at trial (same or less advantageous):

Eg: Defendant's offer = £3,000, Claimant rejects
Later C wins £3,000 at trial OR C wins less than £3,000 at trial

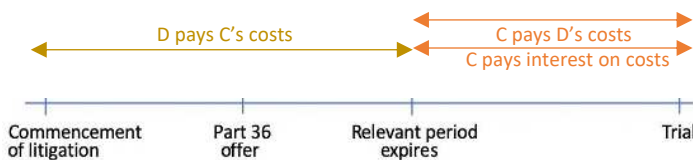
If Claimant awarded same or less at trial than the offer, the Claimant will be punished as they were unreasonable to reject (now wasted time/costs).

'Split costs' order:

1. Until relevant period expiry date: the Defendant pays the Claimant's costs
2. From relevant period expiry to trial date: the Claimant pays the Defendant's costs + interest on costs

The Claimant will get awarded damages but will pay:

1. Own costs
2. 'Split costs' order



Claimant wins more at trial (more advantageous):

Eg: Defendant's offer = £3,000, Claimant rejects
Later C wins £5,000 at trial

The Claimant was reasonable to reject the offer so no penalty.

The Defendant will pay:

1. Damages + own costs
2. Normal costs rules: the Defendant pays all of the Claimant's costs until trial.

Claimant loses:

The Claimant was unreasonable to reject the offer.

The Claimant will pay:

1. Normal costs rules: the Claimant (unsuccessful party) pays the Defendant's costs.
2. From relevant period expiry to trial date: the Claimant pays interest on the Defendant's costs
3. **Penalty.** Court's discretion (can decide not to penalize if unjust)



1. Eg: Claimant's offer = £3,000, Defendant rejects
Later the Claimant wins £4,000

Unreasonable

2. Eg: Claimant's offer = £3,000, Defendant rejects
Later the Claimant wins £1,000 at trial

Reasonable

3. Eg: Claimant's offer = £3,000, Defendant rejects
C loses

Reasonable

4. Eg: Defendant's offer = £3,000, Claimant rejects
Later C wins £2,000 at trial

Unreasonable

5. Eg: Defendant's offer = £3,000, Claimant rejects
Later C wins £5,000 at trial

Reasonable

6. Eg: Defendant's offer = £3,000, Claimant rejects
C loses

Unreasonable

QUESTION 1:

Isabella has made a part 36 offer saying that she would accept £300,000, exclusive of interest, from Diligent Ltd. Diligent rejects the offer and makes its own offer under part 36 whereby it says that it is prepared to pay Isabella £150,000, exclusive of interest. Isabella rejects this offer. By the time of the trial of the case, neither offer is withdrawn. Accordingly, both offers remain open at trial.

Explain fully, referencing relevant CPR provisions, the costs consequences of both offers in three alternative situations.

- If Isabella were awarded £300,000, exclusive of interest, at trial.
- If Isabella were awarded £250,000, exclusive of interest, at trial.
- If the judge accepted Diligent's defence and gave judgment to the defendant, Diligent.

You do not need to set out the form or content of the offer but did need to explain the costs consequences (without referring to procedure).

Claimant = Isabella
Defendant = Diligent Ltd.

1. If Isabella were awarded £300,000 at trial.

Claimant makes an offer for £300,000. Defendant rejects.
Claimant wins same or more at trial (at least as advantageous)
Unreasonable to reject.

Defendant pay:

- * Damages + own costs
- * Normal costs rules apply: D will pay the costs of litigation to the C for the entirety of the trial period
- * Penalty: from the expiry of the relevant period until the trial date, indemnity on costs (10%) and interest on all sums awarded (10%)

Defendant makes an offer for £150,000. Claimant rejects.
Claimant was awarded £300,000 at trial.

2.
If Isabella were awarded £250,000 at trial.

Claimant makes an offer for £300,000. Defendant rejects.

Defendant makes an offer for £150,000. Claimant rejects.

3.
If the judge accepted Diligent's defence and gave judgment to the defendant, Diligent.

Claimant makes an offer for £300,000. Defendant rejects.

Defendant makes an offer for £150,000. Claimant rejects.

**RULES FOR WHEN THE PART 36 OFFER IS MADE
AFTER THE COSTS MANAGEMENT CONFERENCE:**

A Part 36 offer may be made at any time during the proceedings, including after the costs management conference.

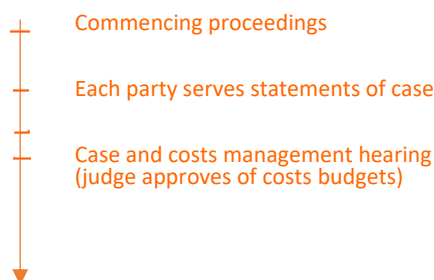
By that stage, there will be **approved costs budgets**, which the court will have to take into account.

Costs budgets serve as the framework for assessing the **reasonable and proportionate costs** of the litigation. – So these budgets are used as the basis for what costs are anticipated and deemed to be reasonable. The court has already approved of these costs at the costs management conference.

The court evaluates whether the refusal of the Part 36 offer was reasonable. If the costs significantly exceed the budgets, the court might view **refusing a Part 36 offer more critically**.

Example:

Personal injury claim



At this stage, the parties learn that the costs of the case will be exceptionally high, £400,000 (legal fees).

Defendant wants to make an offer. They look at the possible damages for the type of injury and severity (head injury) and see that the Claimant may win £1,000,000.

Defendant make an offer to pay £800,000, Claimant rejects.

Goes to trial. Witnesses are heard, turn out the claimant was also contributorily negligent and the Claimant is awarded only £700,000 at trial

Claimant was unreasonable.

'Split costs' order:

1. Until relevant period expiry date: the Defendant pays the Claimant's costs
2. From relevant period expiry to trial date: the Claimant pays the Defendant's costs + interest on costs

The Claimant will get awarded damages but will pay their own cost and the 'Split costs' order.

Because the court will be aware that the Claimant knew that there would be high legal fees involved, they should have accepted the offer and therefore will now receive a higher percentage as penalty than usual.

INTERIM APPLICATIONS

INTRODUCTION:

CPR 1 The **overriding objective** dictates that costs are to be kept at a minimum. Therefore, prior to making any applications to the court, the parties should communicate and **attempt to resolve any questions** they may have between themselves.

Example:

When the Defendant files their Defence in response to the Particulars of Claim, it fails to correctly respond to the allegations in full and the Claimant struggles to understand it.

While a strike out application could be relevant, prior to making an application, the Claimant should reach out to the Defendant and request further information under CPR 18. If the Defendant fails to adequately respond, only then a strike out application should be considered.

Who can make an application?

Interim applications may be made by either party to the court for court orders. – **so may be made by the Claimant or Defendant.**

Applicant = party making the interim application

Respondent = party against which the application is submitted

When can an application be made?

Before the proceedings begin or after, up until the trial date.

Pre-action injunctions are also a possibility, if the test of the relevant injunction is satisfied.

PROCEDURE:

This is the procedure used for all interim applications except for summary judgments (which has its own procedure timeline), so this procedure is relevant in relation to security for costs applications and all injunctions.

Interim applications may be made:

1. **'With notice'**: give notice of application to the other party or
2. **'Without notice'**: Respondent does not find out about the application until court makes decision

With notice or without notice?

When to make an application without notice?

- * Urgent matter – eg. Freezing injunctions, or protecting confidential information from disclosure
- * There must be good reasons for not giving notice: such as purpose of application is defeated by giving notice etc. freezing orders.
OR
- * There are exceptional circumstances

By not having notice of the application, the Respondent is essentially denied an opportunity to present opposing arguments or defend application.

Because of inherent unfairness, applicant's duty of full and frank disclosure of all material facts (Favourable or adverse)

With notice application procedure:

1. **Issue the following at court:**
 - **Application notice (N244)** with the fee
 - **Draft order**
 - **Evidence:**
 - a. Claim Form and statements of case.
 - b. For Interim Prohibitory injunctions only: Witness statement
 - **Skeleton arguments** (only if High Court)
2. **Applicant serves on Respondent:** all above docs
Min 3 days before hearing
(For Freezing Order: serve the bank and other 3rd parties first)
3. **Respondent serves:** Evidence in Response
ASAP = no time limit
4. **Applicant serves:** Evidence in Reply
ASAP = no time limit

5. **Both file:** Statements of Costs
Min 24 hours before hearing

For Freezing Orders:

The Respondent may make an application to vary before the on notice hearing or at the on notice hearing

Grounds for a discharge/variation:

1. The order should not have been made.
2. Respondent has provided the required security.
3. The applicant is guilty of non-disclosure.
4. There has been a procedural irregularity.

6. Interim hearing

7. **The order will be served** on the parties together with any relevant 3rd parties (for Freezing orders: serve on the banks and the applicant should go ahead and obtain a bank guarantee in support for the undertaking to pay damages)

Without notice application procedure:

1. Issue at court:

- * **N244 Application Notice**
- * **Draft Order:** that the applicant wishes the court would make
- * **Evidence:**
 - a. Claim Form
 - b. Full and frank disclosure
 - c. For Security for costs and IPI: Witness statement or Affidavit
- * **Statement of Costs**
- * **Claim Form**

In urgent cases, the application notice and evidence can be filed with the court on the same or next working day.

2. 'Without Notice' Hearing:

If extreme urgency: telephone hearing.

3. If granted, Applicant serves on Respondent:

- * Claim Form
- * Application Notice
- * **Copy of Court Order**
- * Evidence in support of application
- * Statement of Costs
- * **Guarantee supporting undertaking in damages**
- * **Notice of without notice hearing with Respondent's right to appeal**

4. 'With notice' hearing: the court may maintain, discharge the order or make an order to pay damages

COSTS ORDERS FOR INTERIM APPLICATIONS:

There are three main types of costs orders for interim applications:

1. Costs in any event
2. Costs in the case
3. No order as to costs

Costs in any event:

Successful party in interim application recovers costs of interim application, regardless of who wins at trial. The costs recovered run from the date when interim application was issued up until the interim application hearing.

If a costs in any event order is made, costs will be assessed summarily.

Costs in the case:

The party who gets his costs at trial will recover its costs of the interim application from the other party.

In this case, the interim hearing costs will be the **same as end of trial costs** – Argue costs in the case if loses application or the judge criticises your case.

No order as to costs:

Each party bears its own costs at the hearing.

Awarded when the **judge is critical of both parties.**

SUMMARY JUDGMENT:

Summary judgment = court decides the claim or issue without a full trial.

SJ is brought for **weak cases** (no defence or no case), contrast this with Judgment in default where the basis is failure to comply with procedural rules.

When to apply?

If the Claimant applies: CPR 24.4(1)(a)

After the Defendant served an Acknowledgement of Service or Defence up until the trial date, unless the court gives permission to make the application before then.

If the Defendant applies:

Anytime after the commencement of proceedings up until the trial date without the need for court permission.

Grounds: *Take into account overriding objective*

1. **Claimant/Defendant has no real prospect of succeeding on claim/issue**
AND
2. **No other compelling reason why case should be disposed of at trial:**
Compelling reasons:
 - Disputed facts and needs time to investigate
 - Very complex case
 - Right to trial by jury
 - Needs to contact witnesses

Outcomes:

- **The Claimant succeeds and obtains summary judgment in their favour** – Judgment on claim/certain issue and the Claimant's costs will be assessed using the general rule on costs.
- **The Defendant succeeds and obtains summary judgment in their favour** – Dismissal on claim/certain issue, the claim will be struck out/dismissed.
- **Dismissal of SJ application** – claim continues.
- **Conditional order** – claim may continue if conditions are met.

Procedure:

1. **Issue the following at court:**
 - Application notice (N244) with the fee
 - Draft order
 - Evidence (Witness statement)
2. **Applicant serves on Respondent:** all above docs
Min 14 days before hearing
3. **Respondent serves:** Evidence in Response
Min 7 days before the hearing
4. **Applicant serves:** Evidence in Reply
Min 3 days before the hearing
5. **Both file:** Statements of Costs
Min 24 hours before hearing
6. **Interim hearing:**
This hearing is not a trial, there will be no cross-examination of evidence. The court will not take a long time to dissect the evidence and will simply decide the case on the face of it on the papers.

STRIKE OUT:

A party to a claim may make an application to **strike out whole or part of the case**.

Once deleted, the party cannot rely on it in the proceedings. This power is used to strike out inappropriately drafted paragraphs or as a sanction for abuse of court process.

Grounds for strike-out:

3. The statement of case discloses no reasonable grounds for bringing/defending the claim (High standard). – **legally unrecognizable/no cause of action, makes no sense, set out no facts, lacking information proving duty, breach and causation.**
4. Abuse of court process/obstructing just disposal of claim – **eg. vexatious claims**
OR
5. Failed to comply with a rule/practice direction/court order – **eg. late service of docs, late exchange**

Strike out is different from summary judgment:

Strike out is used for cases/issues that are wrongly pleaded or are an abuse of process. Summary judgment is used for cases that are weak on the facts and have no real prospect of success.

Strike out is different from dismissing the claim:

A claim can only be dismissed at trial, strike out will happen before trial for one of the grounds for strike out without the court having the chance to properly consider the claim at trial.

SECURITY FOR COSTS:

Security for costs = Applications made by the **Defendant** if it has reason to believe that the Claimant does not have sufficient funds to meet the costs of the action should the claim be successfully defended (security for costs, but not damages).

Security for costs applications are mostly used by companies.

Use a without notice application procedure.

Grounds:

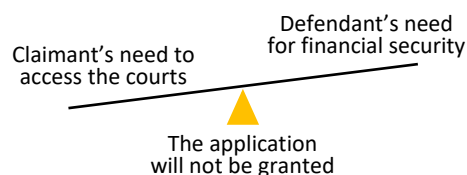
1. **Claimant is a resident out of the jurisdiction but not in a state that is bound by the Hague Convention:**
 - * If Claimant is a company, it resides = where its place of central management and control.
 - * Out of jurisdiction = jurisdictions where it would be difficult to enforce judgments
 - * Claimant not residing in Brussels Regulation MSs
2. **Claimant is an impecunious company:**
 - * Claimant is a company/other body
AND
 - * There is reason to believe it won't be able to pay D's costs if ordered to do so – **eg. Limited company and annual accounts and/or newspaper suggest financial difficulties.**

D must prove company will not be able to pay not just that it may not be able to pay. This is assessed at the time of application but taking into account of future expectation.

Need only have 'reason to believe' that the Claimant will be unable to pay. This is less than balance of probabilities (even if the Claimant has evidence to the contrary), lower hurdle.

Court's discretion:

1. **Court is not obliged to make an order, despite all grounds satisfied.**
2. **Main consideration: is the Respondent able to comply with an order for security for costs?** If not, an order is unlikely.
3. **Take into account the overriding objective**
Overriding objective: deal with the case justly and at a proportionate cost to make the order.
4. **Considers all circumstances of the case:**
Balances injustice to the Claimant (right of access to courts) and injustice to the Defendant (the need for financial security).



Factors when applying balancing act:

- (a) **Respondent's claim = bona fide/not a sham**
If respondent has reasonably good prospects of success or the Defendant has admitted liability = likely to be bona fide – **eg. seeking payment of unpaid invoice = bona fide**
- (b) **D using application oppressively to stifle a genuine claim?**
 - Claimant to prove stifling
 - Court may look at the financial resources of parties
 - Court considers if Respondent can raise money from other sources.

D is keen to avoid payment, whilst the Claimant appears to have a genuine claim and will potentially be unable to pursue that claim if security for costs is ordered.

(c) **Delay in making the application?** Make the application asap. If delayed, reduction/refusal of security for costs.

(d) **Does the Respondent have financial difficulties because D's actions?**

Awards:

Court's discretion whether or not it makes an order and must consider if Respondent realistically able to raise the amount.

Potential orders:

- Pay sum into court or give some other form of security
- Pay sum to applicant's solicitor
- Undertaking to pay D's costs if ordered to do so.

What happens if the Claimant is unable to pay the security?

The court will **stay the claim** until the security is provided. Once security is given, the proceedings continue.

If the security is not paid within a time period specified by the court, the **claim may be struck out** (ending the claim).

INTERIM PAYMENTS:

The Claimant may make an application for **an order requiring the Defendant to make a payment** to the Claimant in the interim, without a judgment made at trial. – **CPR 25.6-25.9**

This is typically made in relation to **personal injury claims** and requires the Defendant to make a payment in the interim to help the Claimants with their costs relating to their injuries so that they can continue with their treatment.

An interim payment must only be a **reasonable proportion of the whole amount** likely to be awarded at trial.

Grounds: CPR 25.7

- * The Defendant must have **admitted liability** in relation to the damages due to the Claimant or some other sum of money.
- * The Defendant has a **judgment entered against them** in favour of the Claimant for damages or a sum of money (except for costs) to be assessed.
OR
- * It is satisfied that, should the claim proceed to trial, **the Claimant would obtain a substantial amount of damages** from the Defendant – the Defendant may be the sole Defendant or one of a number of Defendants.

APPLICATION FOR SPECIFIC DISCLOSURE:

An order made when standard disclosure has not resulted in the **disclosure of a specific document** that is relevant to the case. – **CPR 31.12**

Grounds:

The Applicant must show that it is necessary that the Respondent:

- * Discloses documents or classes of documents specified in the order.
- * Carries out a search to the extent set out in the order.
OR
- * Discloses any documents found

PRE-ACTION DISCLOSURE:

An order **made before the proceedings** have commenced to **obtain certain documents** or information from the prospective Defendant. – **CPR 31.16**

The test of pre-action disclosure:

- * The Applicant and Respondent are **prospective parties** to an anticipated claim.
- * Had the proceedings began, the Respondent **would have a duty under the test of standard disclosure to disclose** the documents or classes of documents sought by this application.
AND
- * An order for **pre-action disclosure is necessary** to dispose of the anticipated proceedings fairly, to aid settlement or to otherwise save costs.

ORDER TO CALL A WITNESS TO GIVE EVIDENCE AT TRIAL:

An order **allowing a party to call a specific witness to give oral evidence at trial** where no witness statement or witness summary was served in relation to this specific witness within the prescribed time limits.

Factors the court will take into account: CPR 32.10 Foster

- * What is the reason why evidence was not produced and filed previously.
- * The significance of the evidence
- * The prejudice suffered by the Applicant if an order is not made.
- * The prejudice suffered by other parties if the order is made.
- * The need to be fair and just for all the parties by taking into account the overriding objective.

If a witness has not served their witness statement, the **automatic sanction** is that that witness will not be able to give oral evidence at court. As this is deemed to be a sanction, **the applicant must apply for relief from sanctions** prior to applying for an order to call the relevant witness to give evidence at trial.

INJUNCTIONS

Injunction = an order of the court requiring a party to do something or to refrain from doing something.

Breach of an injunction – contempt of court.

Injunctions can be obtained at any point during the proceedings.

Types of Injunctions:

1. **Mandatory injunctions:** requires the other side to do a specific act.
2. **Prohibitory injunctions:** requires the other side to refrain from doing an act.
3. **Quia timet injunctions:** no wrong is yet committed, merely threatened.

There must be a cause of action. – eg. **breach of contract**.

INTERIM MANDATORY INJUNCTION:

Test (high threshold) – will be granted if:

- * The Applicant will suffer serious harm if not granted
- * The Applicant is likely to succeed
- AND
- * The Respondent is not required to incur expenditure disproportionate to the Applicant's harm.

Damages must not be an adequate remedy:

- * The harm is not serious + not likely to continue (One-off)
- * The harm is not irreparable. – eg. **where privacy was breached**
- * The harm can be quantified in financial terms.
- * The Respondent can pay damages.

INTERIM PROHIBITORY INJUNCTIONS:

American Cyanamid Guidelines (court may depart from it) on **how the court's discretion should be exercised:**

1. **Serious question?**
2. **Damages are adequate remedy for party injured by not/granting?**
3. **Balance of convenience?**

Step 1: Is there a serious question to be tried?

The claim is not frivolous or vexatious + serious question to be tried, the claim must have substance. – **Yes, if clear breach. Clear terms, no valid defence.**

Step 2: Would damages be an adequate remedy for a party injured by the court's grant of, or failure to grant, an injunction?

Step 2(A): Damages for the applicant + Can the respondent actually pay?

If damages are not adequate or the respondent can't pay then the court is likely to grant an injunction.

From Applicant's perspective:

If the Confidential Information is disclosed so damages will be difficult to quantify = inadequate. Even if damages would (in theory) be adequate, Respondent is in financial trouble, damages not OK.

Step 2(B): Damages for the respondent + Can the applicant actually pay?

If the injunction were to be granted and it turns out that the injunction was wrongly granted, would the Respondent be adequately compensated under the Applicant's undertaking as to damages?

From Respondent's perspective:

Applicant is at an early stage of discussion with Respondent, so will not be unduly prejudiced. Even if it turns out that the injunction should not have been granted, Applicant is capable of paying damages.

Step 3: Where does the balance of convenience lie?

If both parties are large multinationals – injunction likely.

Contrast: one party is a small firm, business might go insolvent – not likely.

Factors:

1. Trial is due to be heard soon – likely.
2. Public interest in the injunction being granted or refused.
3. Will one party be disproportionately harmed if the injunction is or is not granted?
4. **Where evenly balanced, try to maintain the 'status quo' ante:** This will be the position before the conduct complained of.
5. **Consider the 'equity' of the situation.**
6. **If other factors appear to be evenly balanced – merits of the case, last resort without conducting a mini-trial.**

From Applicant's perspective:

Damage will be irreparable if the Confidential Information is disclosed. Applicant's future business will be severely hindered. Respondent could not meet any damages award.

From Respondent's perspective:

The respondent is not being asked to do anything which it shouldn't be doing, it signed the agreement and should comply with it. The respondent's deal with the Applicant is at a very early stage so no losses there and the Applicant can meet any undertaking in damages.

Conclusion: Balance is in the Applicant's favour.

If you reached a conclusion at this point, don't consider the points on Equity and discretionary remedy below.

Equity:

An injunction is an equitable remedy so all the equitable maxims will apply:

1. Court cannot enforce the order: **Keep open for trading = not enforceable.**
2. Must come with clean hands: **look at the Applicant's wrongdoing**
3. Has the Applicant delayed in bringing this application?
4. Equity will not act in vain. **Confidentiality has already been disclosed so why take further action?**

Discretionary remedy:

An injunction is a discretionary remedy. No right to an injunction.

FREEZING ORDERS (FREEZING INJUNCTIONS):

Freezing injunction is an IPI restraining a party from removing assets out of the jurisdiction, or from dealing with assets whether they are within the jurisdiction or not. This is to prevent assets being dissipated to hinder enforcement. **May award against 3rd parties** (to police the order) – eg. **order respondent's bank to stop respondent's access to their account.**

Effect of a freezing injunction:

1. All assets mentioned in the order are frozen (but would allow reasonable expenses per week)
2. The respondent (or anyone else with notice of the order) will be in contempt of court if it breaches its terms.
3. It will be in the applicant's best interest to press ahead with the action as his assets are frozen until proceedings.

A discretionary and equitable remedy and the usual equitable maxims apply.

Mareva Grounds for freezing injunction:

1. **Applicant has substantive cause of action justiciable in England and Wales.**
High Court can grant interim relief in foreign jurisdiction cases. Here, an order is sought where there is no "related claim".
2. **Applicant has a good arguable case** = 50%+ chance of success.
3. **Assets within the jurisdiction** – UK Bank Account check if assets are still in the bank account.

AND

4. **Real risk of respondent dissipating assets to hinder enforcement.**

Factors – Evidence of the Respondent's:

- * Dishonesty – **transferring assets at an undervalue, directors' disqualification proceedings**
- * Debt default
- * Removing or disposing of assets
- * Residing in a tax haven
- * Assets kept in jurisdictions where English judgments not easily enforced

JURISDICTION OVER FOREIGN MATTERS

PRELIMINARY CONSIDERATIONS:

When is foreign jurisdiction an issue?

Foreign jurisdiction becomes an issue if one of the parties or the subject matter of the case is located abroad. – eg. if one party lives abroad or the contract is to be performed abroad.

In all of these cases, there will be **no express jurisdiction clause** in the contract. If there is an express jurisdiction clause deciding in favour of a jurisdiction, then **the clause must be followed**.

When discussing jurisdiction over foreign matters, apply either:

- (1) **Hague Convention on Choice of Court Agreements 2005**
OR
- (2) **The Common Law Rules** – The Hague convention is non-examinable so state it does not apply and thus the Common law rules will be relevant.

THE COMMON LAW RULES:

Under the Common Law Rules, the courts of England and Wales will have jurisdiction over a foreign Defendant in the following circumstances:



STEP 1 – Presence:

If foreign D is present in jurisdiction when Claim form is served then the courts of England & Wales will have jurisdiction.

Must have either:

1. Permanent presence – eg. company having a Birmingham office
2. Temporary presence – eg. D was visiting for a week

Onus is on D to prove English courts are not 'forum conveniens' (= proper place to bring claim). Use Proper Place test to prove different jurisdiction is more suitable.

Proper Place Test: *all circumstances of the case*

1. **Is England the natural forum:**

Spiliada Maritime Corp Forum conveniens is: forum in which the case can be most suitably tried in the interests of all the parties and for the ends of justice.

Spiliada Maritime Corp Factors:

- * Applicability of the law to the contract – English law was the proper law of the contract
- * D's Residence or place of business
- * Availability of witnesses – if all the witnesses come from England, then England is more likely to be the proper place
- * Local knowledge if this would help the case
- * Cost, delay or inconvenience of bringing proceeding – is it necessary to fly out witnesses/experts?

Court will give different weight to each factor based on the circumstances of the case.

If England is the natural forum, then England is the proper place to bring the claim and permission will be granted.

2. If England is not the natural forum, apply second step: **Does substantial justice require case to be tried in England?** If so, grant permission.

STEP 2 – Submission:

A foreign defendant will be subject to the jurisdiction of the courts of England and Wales if they submit to it.

Two ways in which a Defendant can submit to the jurisdiction of the court:

1. **Appoint agent to accept service on its behalf** – eg. instructing an English solicitor
2. **Takes part in proceedings:** D takes a step in the proceedings – eg. files defence or applies for an order.

STEP 3 – Permission:

CPR 6.36 If D is not in the jurisdiction and has not submitted to the jurisdiction, C must apply for court permission to serve proceedings on foreign D.

3-stage test:

1. **6B PD 3.1 CPR 6.37(1)(a) Jurisdictional gateway (grounds for the application)**
 - **6B PD 3.1(2) Injunction:** The claim is made regarding an injunction in respect of D.
 - **6B PD 3.1(3) Necessary or proper party (co-Ds):**
 - A claim is made against someone on whom the claim form has been/will be served
 - It must be a real issue to be tried AND
 - C wants to serve the claim form on another D who is a necessary or proper party to that claim.
 - **6B PD 3.1(6)-(7) Contract – satisfy one of three:**
 - Contract was made or breach of contract occurred within England & Wales
 - Made via agent trading or residing within England & Wales OR
 - Governed by English law

2. **CPR 6.37(1)(b) Reasonable prospect of success for the claim** low threshold

3. **CPR 6.37(3) Proper place: Forum conveniens**
D will dispute English court's jurisdiction by arguing England is not the proper place to bring the claim. **Onus on C to prove England & Wales is forum conveniens.**

Spiliada Maritime Corp Forum conveniens is: forum in which the case can be most suitably tried in the interests of all the parties and for the ends of justice.

Spiliada Maritime Corp Factors:

- * Applicability of the law to the contract – English law was the proper law of the contract
- * D's Residence or place of business
- * Availability of witnesses – if all the witnesses come from England then England is more likely to be the proper place
- * Local knowledge if this would help the case
- * Cost, delay or inconvenience of bringing proceeding - is it necessary to fly out witnesses/experts?

Court will give different weight to each factor based on the circumstances of the case.

Conclude: Court has a discretion whether to grant permission.

If England is the natural forum, then England is the proper place to bring the claim and permission will likely be granted.

EFFECT ON PROCEEDINGS:

Timeframes

	Domestic D	Foreign D – Common Law
Claim Form	CPR 7.5(1) Must serve on D within 4 months of issue	CPR 7.5(2) Must serve on D within 6 months of issue
AoS/Defence	CPR 10.3 + 15.4 File within 14 days of serving Particulars	Different for each country. For USA – 22 days. CPR 6.37(5) 6B PD 6.2-6.4 Table with rules per country
Defence if AoS submitted	CPR 15.4 Must file within 28 days of AoS	6B PD 6.4 Look at the day in the table and add 14 days

Permission to serve?

C may or may not need permission from the court to serve proceedings on a D outside the jurisdiction.

No permission needed: CPR 6.33

CPR 6.33(2B)(b) If C properly served the claim form, they will not need permission if:

1. They rely on a jurisdiction clause in favour of the courts of England and Wales AND
2. The Hague Convention does not apply.

CPR 6.34 If C relies on this provision: C must file with the claim form a Notice containing a statement of the grounds on which C is entitled to serve the claim form out of the jurisdiction and serve a copy of that Notice with the claim form.

Permission needed: CPR 6.36-6.37

If common law rules apply and D is not physically in English jurisdiction, Claimant needs court permission before serving the Claim form on foreign D.

APPEALS

GENERAL PRINCIPLES:

There is **no automatic right of appeal**, and any party hoping to make an appeal must first ensure that they have **permission to make an appeal**.

Appeal the decision of a lower court where:

1. Decision was wrong
OR
2. Unjust because of a serious procedural or other irregularity

Court may order the appeal if:

Evidence could not be reasonably obtained in lower courts, evidence would have an important influence on result and is credible. Also consider the overriding objective.

The appeal hearing:

Review rather than re-hearing unless the court decides that a re-hearing would be in the interest of justice. – **CPR 52.21(1)**

Court reluctant to interfere with lower court's discretion, unless decision was based on error of law, evidence or facts.

Fresh evidence will not be allowed unless the appeal court orders it.

The **usual costs rules** apply in relation to the appeal hearing.

PERMISSION:

You need permission to appeal.

Applying for permission:

Such an application may be made:

- **Orally** to the lower court directly when the decision is made at the hearing.
OR
- Make the application **by filing an appellant's notice** with reasons to the appeal court within **21 days**.

Apart from appeals to Supreme Court, you have **21 days** from the original decision to appeal.

Test for granting permission:

- Appeal must have a real prospect of success
OR
- Some other compelling reason why appeal should be heard

Respondent's position:

Respondent's notice must be filed and served by a respondent who:

- Is seeking permission to appeal from appeal court
OR
- Asks appeal court to uphold lower court's order for different or additional reasons to those given by the lower court.

If no directions on time, file notice (using Form N162) within **14 days** after the date on which Respondent became aware that appeal was going ahead.

Where to apply for permission?

In general, an application for permission to appeal must be made to **the court that made the decision or the court you want to hear your appeal**.

APPLICATION FOR PERMISSION TO APPEAL:

In order to be able to appeal a court decision, **permission to make an appeal must be granted first**.

This is because there is **no automatic right of appeal**, and any party hoping to make an appeal must first ensure that they have **permission to make an appeal**.

Court may order the appeal if:

- * The appeal has a **real prospect of success** or there is some other **compelling reason** why the appeal should be allowed.
AND
- * The previous judgment/order was **wrong in fact/law** or in the exercise of discretion or was unjust as a result of a serious procedural or other irregularity.

When granting the order to allow an appeal to be made, this order may be subject to conditions.

WHO HEARS THE APPEAL?

Original hearing by	Appeal to
District Judge (County Court)	Circuit Judge (County Court)
Circuit Judge (County Court)	Master (High Court)
Master (High Court)	Judge (High Court)
Judge (High Court)	Lord Justice of Appeal (Court of Appeal)
Lord Justice of Appeal (Court of Appeal)	Justice of Supreme Court

A court lower than CoA may transfer first appeal directly to CoA in exceptional circumstances.

EFFECT OF AN APPEAL:

Initiating an appeal does not automatically stay the order obtained in the lower court.

The effect of the Appeal is to stay the lower court's order if:

- Lower court or appeal court so orders
OR
- The appeal is from the Asylum and Immigration Tribunal

APPEAL HEARINGS:

Composition of the court:

- * One judge (either CC Circuit Judge or HC Judge)
- * In the Court of Appeal: 2 Lords Justice sit on interim appeals + 3 on final appeals
- * In the Supreme Court: 5-member courts.

Appeal court has the same powers as lower court.
Second appeals will be heard by the Court of Appeal.

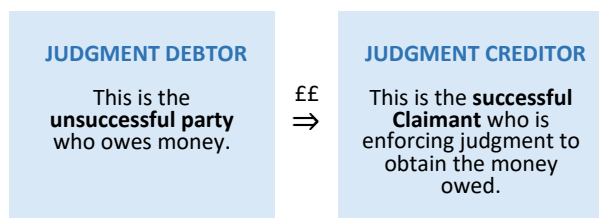
ENFORCEMENT

INTRODUCTION:

At the trial, a judgment is made against the losing party, and this includes **orders to pay** the opposing party's legal fees and compensation, if necessary.

Any judgment/order will be enforceable for **6 years** from the date of the judgment/order.

Courts **do not enforce** judgments **automatically** when the debtor fails to pay. – the judgment creditor will need to **commence enforcement proceedings**.



Interest on the debt:

The interest will be **8% per annum**, unless the court decides otherwise. Interest will typically **accrue from the date of the judgment/order**. This will depend on what is stated in the order.

For County Court judgments:

1. Judgments for £5,000 or more will be subject to interest.
2. Judgments relating to a qualifying debt under the Late Payment of Commercial Debts (Interest) Act 1998 are also subject to interest.

For High Court judgments:

All judgments will be subject to interest.

INVESTIGATING THE DEBTOR'S MEANS:

Before the Claimant commences proceedings for enforcement, they should **obtain as much information** as possible as to the reasons why the debtor failed to pay the debt, their circumstances, and assets and where these are located.

The debtor's means could be investigated by:

- Asking the debtor themselves
- Instructing an enquiry/tracing agent
- Carrying out a Companies House search
- Obtaining Official Copies from Land Registry (are they the sole owner of the property or is the property jointly owned?)

If little knowledge about the debtor and their assets:

Apply without notice for **Order to Obtain information** from judgment debtor about its assets.

ENFORCEMENT METHODS:

Exam structure:

1. Make a list of all the assets in your scenario.
2. Identify which assets are **not** possible to enforce the judgment against.
3. Select the most appropriate order for the remaining assets.

Key methods of enforcement:

1. Taking control of goods order – **use this for goods/vehicle**.
2. Third party debt orders – **use this in relation to credit in the bank account**.
3. Charging orders – **use this in relation to land or certain securities**.
4. Attachment of earnings order – **use this in relation to salary**.
5. Insolvency proceedings – **use if there is no other option**.

May use more than one of the below methods.

Taking control of goods order:

Enforcement officer can legally **seize the debtor's goods and assets** and sell them to pay the judgment debt.

Please do not confuse this with goods being sold by businesses, this order can be used to seize any items that the debtor may have with a few exceptions.

Use this method if the debtor actually owns the goods/assets themselves. Goods **may be taken** even if the judgment debtor **owns the goods jointly** with someone else. – **Farrar v Beswick**

Goods that are exempt from seizure:

- * **Tools and necessary items** for the debtor's job, trade, profession or study up to £1,350 in aggregate value.
- * Basic **domestic items**. – eg. clothes, books, telephones, bedding, furniture.

Additional considerations:

- * If the resale **value of goods** is enough to cover the judgment debt, it may not be.
- * If the market is going well, bad **market conditions** will make it more difficult to sell the goods and to receive fair value for them.

Cannot use TCG against a third party so check any third party claims (owners, co-owners, secured creditors) – eg. **if judgment debtor uses a car owned by a company. Always check who owns the goods.**

Outstanding debt amount	County Court or High Court?
Up to £600	Only County Court
Between £600 and £5,000	High Court or County Court
More than £5,000	High Court

High Court Procedure:

- * Obtain a **writ of control** to be able to seize the debtor's assets.
- * File a **Request for issue of the writ** using Form PF 86A together with the relevant court fee.
- * With the form, also file a draft writ of control which the court may edit before issuing it.
- * The writ can only be enforced by an **enforcement officer**.

County Court Procedure:

- * Obtain a **warrant of control** to be able to seize the debtor's assets.
- * File a **Request for a warrant of control** in the hearing centre where the judgment was obtained together with the relevant court fee.

Third party debt orders:

CPR 72 If the judgment debtor is owed money by third party, a third-party debt order can be made so that this third party pays the debt directly to the judgment creditor.

Must be debt due or accruing due. – eg. **trade debts, credit in bank account, but do not use for overdrafts**.

Charging orders:

Do not use this method if the land or assets that are subject to mortgages or charges are jointly owned. If co-owned, it is difficult to obtain Order for Sale.

If there is a charge on property, bank must be paid off first, then obtain Order for Sale. This is expensive and time-consuming.

Attachment of earnings order:

This order ensures that a **proportion of the debtor's salary** is deducted by the employer and paid towards the debt.

This order **cannot** be made against someone who is self-employed.

Only available in **County Court**.

Must transfer judgment to County Court, then apply for Attachment of Earnings Order. Use against an individual (not company) where the person lacks assets but earns a salary.

Insolvency proceedings:

Insolvency proceedings should always be the creditor's **last option**.

For individuals:

Must owe creditor more than £5,000 – bankruptcy petition

For companies:

Must owe creditor more than £750 – winding-up petition